City of Gallatin, Tennessee

Annual Comprehensive Financial Report
For the Fiscal Year Ended June 30, 2023

Prepared by the City of Gallatin Finance Director

City of Gallatin, Tennessee

Annual Comprehensive Financial Report

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Introductory Section

December 18, 2023

Honorable Mayor, City Council, and Citizens of the City of Gallatin,

State law requires that every general-purpose government publish a complete set of audited financial statements within six months of the close of each fiscal year. This report is published to fulfill that requirement for the fiscal year ended June 30, 2023. This report consists of management's representations concerning the finances of the City of Gallatin. To provide a reasonable basis for making these representations, management of the City of Gallatin has established a comprehensive internal control framework that is designed both to protect the city's assets from loss, theft, or misuse and to compile sufficient reliable information for the preparation of the City of Gallatin's financial statements in conformity with GAAP. Because the cost of internal controls should not outweigh their benefits, the City of Gallatin's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. Management assumes full responsibility for the completeness and reliability of all the information presented in this report.

The City of Gallatin's financial statements have been audited by Blankenship CPA Group, PLLC, a firm of licensed certified public accountants. The goal of the independent audit was to provide reasonable assurance that the financial statements of the City of Gallatin, for the fiscal year ended June 30, 2023, are presented fairly in all material aspects. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that the City of Gallatin's financial statements, for the fiscal year ended June 30, 2023, are fairly presented in all material aspects in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report. GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The City of Gallatin's MD&A can be found beginning on page 3, immediately following the report of the independent auditors.

PROFILE OF THE CITY OF GALLATIN

The City of Gallatin, population of 51,653, is located in Sumner County, Tennessee and is the county seat for Sumner County. It is approximately 30 miles northeast of downtown Nashville, and is served by numerous major highways including U.S. 31-E, State Route 386, State Route 109, and State Route 25. The City of Gallatin was founded in 1802, incorporated in 1954, and operates under the City Mayor/City Council form of government. The Municipality's legislative body is a seven-member City Council that is elected, one each for 5 council districts and two at-large members. Each Councilmember is elected to a four-year alternating term with elections conducted every two years. The Mayor is chief administrative officer of the Municipality and presides at meetings of the Council.

The City of Gallatin provides a wide range of services which include police and fire protection, the construction and maintenance of highways, streets, and other infrastructure, sanitation services, recreational and cultural services, planning and zoning, and general administrative services. Additionally, the City owns and operates its water, wastewater, natural gas, and electric systems. For small, outlying populations, White House Utility District and Castalian Springs Bethpage Utility District provide water service.

All of the City's Governmental funds are annually appropriated. The City Council is required to adopt a final budget by no later than the close of the fiscal year. This annual budget serves as the foundation for the City's financial planning and control. In February of each year, Department Heads submit their budget requests to the Mayor and Finance Director. The Mayor conducts departmental meetings in March of each year, and the Finance Director makes revenue estimates for the upcoming year. The budget is submitted to City Council in April. First reading of the Budget is usually in May, second reading is usually in May/June but no later than June 30, the close of the City's fiscal year. The budget is prepared by fund (i.e. general) and department (i.e. police). Department heads are authorized to expend funds within total departmental appropriations. However, amendments to the budget that change departmental and/or total appropriations require the adoption of an ordinance by the City Council. Budget transfers between departments require approval of the City Council. Budget to actual comparisons are provided in this report for each governmental fund for which an appropriated annual budget has been adopted.

LOCAL ECONOMY

The City of Gallatin continues its strong growth trajectory in both the business and residential sectors, benefitting from our close proximity to Nashville. National realty groups ranked Gallatin in the top 20 "hottest zip codes" in the U.S. early this year because of maintaining "a small town feel while close to a bustling downtown". The city's population has now surpassed the 51,000 mark, and our trade area population exceeds 167,700. Household income averages $99,618 with median household income at $75,298.

This growth has generated increased property tax and sales tax collections for the city with sales tax collections exceeding $1 million for 31 consecutive months. In the industrial sector, a Belgian company chose Gallatin for its first U.S. manufacturing facility, bringing additional foreign direct investment to Gallatin. Several other existing industries are expanding, adding jobs and more than $110 million in Capital Expenditures. In the commercial sector, Gallatin is adding retail and restaurants at a rapid pace to meet demands of the expanding population.

LONG-TERM FINANCIAL PLANNING

In 2018, the City began developing a comprehensive long-range plan, *Plan Gallatin,* for future growth and development of the city. The city's Planning Commission and City Council have formally adopted the plan. Additionally, a formalized Capital Improvement Plan was adopted during the 2022 fiscal year with department heads projecting major needs for the upcoming 10 years. The plan is updated at least annually, if not more frequently, with new information on previously submitted projects and the addition of new future projects. The CIP is used to plan for long-term capital funding, whether it be pay-as-you-go or debt issues.

The City has numerous capital projects currently funded and under construction. Included are city-wide infrastructure projects such as roads, streets, sidewalks, greenways, water lines, sewer lines, and gas lines. Many of these projects are being funded wholly or in part by Federal and State grants. Capital projects underway include: regional collaborative water lines for north and northeast Sumner County residents; signal grant for synchronized signalization along major thoroughfares; various roadway improvements; purchase of heavy equipment for Streets and Environmental Services departments; miscellaneous roadway and drainage projects; new utility line installation and existing line rehabilitation; new park facilities and park upgrades; partnership with Sumner County government for a downtown parking structure; and numerous greenway and multimodal paths.

FINANCIAL POLICIES

The City is committed to protecting its taxpayers' funds. Management continues to take a very conservative approach to budgeting and spending in order to lessen the chance of a revenue shortage and mid-year program cuts. This approach will help finance contingencies and unforeseen budget amendments. The City of Gallatin recognizes the importance of a diversified revenue system, and strives to not rely too heavily on one source. Currently the city general fund revenue sources are approximately one-third sales tax, one-third property tax, and one-third all other revenues. The City routinely reviews its various rates and fees and considers inflation and current market rates. The City Council has formally adopted Fund Balance Policies for the General Fund and for the enterprise funds which indicate that they will maintain a minimum unassigned fund balance of 25% of the operating expenditures in each of those funds. Additionally, the City has a formally adopted Capital Improvement Plan, Purchasing Policy, Internal Financial Controls Policy, Debt Management Policy, Investment Policy, Grant Policy, and Contract Administration Policy, all of which are updated periodically and which serve to further strengthen its overall fiduciary duties to the citizens of Gallatin.

AWARDS AND ACKNOWLEDGEMENTS

The preparation of this report on a timely basis could not have been accomplished without the dedicated services of the Finance department staff of the City of Gallatin. Credit must also be given to the City Mayor and City Council for their support of excellence in financial reporting and fiscal integrity. Also, the City is grateful to the staffs of Blankenship CPA Group, PLLC for their invaluable guidance and assistance.

Respectfully Submitted,

Rachel Nichols

Rachel Nichols

Director of Finance

City of Gallatin | 132 West Main Street | Gallatin, TN 37066 | 615.451.5963

City of Gallatin, Tennessee
Directory
June 30, 2023

ELECTED OFFICIALS

Paige Brown, Mayor
Lynda Love, Council Member, Vice Mayor
William C. Hayes, Council Member
Steve Fann, Council Member
Steven Carter, Council Member
Pascal Jouvence, Council Member
Eileen George, Council Member
Shawn Fennell, Council Member
Connie Kittrell, Recorder

MANAGEMENT TEAM

Rachel Nichols, Director of Finance, CMFO
Richard Depriest, Superintendent of Public Works
David Kellogg, Superintendent of Public Utilities
Donald Bandy, Chief of Police
Jeff Beaman, Fire Chief
Charles Stuart, Director of Codes
William McCord, Director of Planning
David Brown, Director of Parks and Recreation
Courtney Russell, Director of Human Resources
James Fenton, Director of Economic Development
Nick Tuttle, City Engineer
Jennifer Lefevre, Director of Information Technology
Jeff Hentschel, Communications Director
Mark Kimbell, Electric Department Manager

COUNSEL

Susan High-McAuley
City Attorney
Gallatin, Tennessee

Financial Section

Independent Auditor's Report

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, based on our audit and the report of the other auditors, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City, as of June 30, 2023, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the financial statements of the Department of Electricity (Electric Department), which represent 25%, 24%, and 67%, respectively, of the assets, net position, and revenues of the business-type activities as of June 30, 2023. Those statements were audited by other auditors whose report has been furnished to us, and our opinions, insofar as they relate to the amounts included for the Electric Department, are based solely on the report of the other auditors.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed,
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Required Supplementary Information
Accounting principles generally accepted in the United States of America require that Management's Discussion and Analysis on pages 4-11 and the pension and OPEB Information on pages 77-83 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information
Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The combining and individual nonmajor fund financial statements and schedules on pages 84-90 and the supplementary information on pages 91-97 (including the schedule of expenditures of federal awards and state financial assistance, as required by Title 2 US *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, on pages 91-92) are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the combining and individual nonmajor fund financial statements and schedules on pages 84-90 and the supplementary information on pages 91-97 are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information
Management is responsible for the other information included in the annual report. The other information comprises the introductory section, and the statistical section, and other schedules on pages 98-101, but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists; we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*
In accordance with *Government Auditing Standards*, we have also issued our report dated December 18, 2023 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City's internal control over financial reporting and compliance.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 18, 2023

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2023. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceed its liabilities and deferred inflows of resources at the close of the fiscal year by $442.64 million as compared to $414.65 million in the prior year. Of the amounts, $105.07 million (unrestricted net position) as compared to $103.59 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by $27.99 million in 2023, compared to an increase of $52.34 million in 2022.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of $68.89 million, an increase of $11.72 million from the prior year. Approximately $53.75 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was $53.75 million, or 108.48% of the total general fund expenditures as compared to $43.46 million the prior year.
- The City's debt obligations decreased by approximately $5.18 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are compromised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the net difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.

- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported when the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 12-14 of this report.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories: governmental funds and proprietary funds.

Governmental Funds

Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 15-19 of this report.

The City maintains nine governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other seven governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 84.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 25-34 and pages 86-90 of this report.

Proprietary Funds

There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.

- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer, Natural Gas, and Electric Power operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 20-24 of this report.

Fiduciary Funds

Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary Fund reported is for the Electric Department Pension Trust Fund. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combined statements which can be found on pages 35-36 of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 37-76 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utility's schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position

As noted earlier, net position may serve over time as a useful indicator of exceeded liabilities and deferred inflows of resources by $442.64 million at the close of the most recent fiscal year, as compared to $414.65 million at the close of the previous year.

By far the largest portion of the City's net position (73.15%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment, and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position $13.79 million (3.11%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position $105.07 million (23.74%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

	Primary Government (in thousands)					
	Governmental Activities		Business-Type Activities		Total	
	2023	2022	2023	2022	2023	2022
Assets						
Current and other assets	$ 91,933	$ 86,403	$ 74,350	$ 79,893	$ 166,283	$ 166,296
Capital assets	174,986	162,610	220,653	211,531	395,639	374,141
Total Assets	266,919	249,013	295,003	291,424	561,922	540,437
Deferred Outflows of Resources						
Deferred outflows	661	427	6,026	4,028	6,687	4,455
Liabilities						
Other liabilities	11,673	12,586	28,572	26,199	40,245	38,785
Long-term liabilities	24,735	26,343	45,743	48,519	70,478	74,862
Total Liabilities	36,408	38,929	74,315	74,718	110,723	113,647
Deferred Inflows of Resources						
Deferred inflows	15,015	14,663	228	1,934	15,243	16,597
Net Position						
Net investment in capital assets	148,607	133,282	175,182	161,498	323,789	294,780
Restricted	13,571	13,222	215	3,056	13,786	16,278
Unrestricted	53,979	49,344	51,089	54,246	105,068	103,590
Total Net Position	$ 216,157	$ 195,848	$ 226,486	$ 218,800	$ 442,643	$ 414,648

The government's total assets increased significantly due to the capital projects that were completed during the current fiscal year. Long-term liabilities decreased due to payments being made on debt for these projects during the current fiscal year.

Statement of Activities

Expenses in the governmental activities exceeded program revenues by $23.90 million. In the business-type activities program revenues exceed expenses by $8.48 million. General government revenues and transfers of $44.21 million offset the governmental activities deficit resulting in a positive change of net position of $20.31 million. Other business-type revenues of $827 thousand and transfers of ($1.62) million reduced income in the business type activities leaving a positive change in net position of $7.69 million.

	Primary Government (in thousands)					
	Governmental Activities		Business-Type Activities		Total	
	2023	2022	2023	2022	2023	2022
Program Revenues						
Charges for services	$ 12,938	$ 12,276	$ 115,696	108,491	$ 128,634	$ 120,767
Operating grants and contributions	3,896	4,390	-	-	3,896	4,390
Capital grants and contributions	8,346	15,384	6,412	8,438	14,758	23,822
General Revenues						
Property taxes	14,215	13,503	-	-	14,215	13,503
Other taxes	26,304	24,592	-	-	26,304	24,592
Other sources	2,062	10,771	827	352	2,889	11,123
Total Revenues	67,761	80,916	122,935	117,281	190,696	198,197
Expenses						
General Government	11,492	10,679	-	-	11,492	10,679
Public Safety	21,446	19,887	-	-	21,446	19,887
Engineering	3,045	2,112	-	-	3,045	2,112
Environmental Services	3,500	3,265	-	-	3,500	3,265
Public Works	816	827	-	-	816	827
Highways and Streets	1,701	1,501	-	-	1,701	1,501
Vehicle Maintenance	416	638	-	-	416	638
Parks and Recreation	5,580	5,761	-	-	5,580	5,761
Economic Development	478	556	-	-	478	556
Interest on long-term debt	603	640	-	-	603	640
Electric	-	-	77,786	67,412	77,786	67,412
Water and Sewer	-	-	16,837	15,121	16,837	15,121
Gas	-	-	19,001	17,460	19,001	17,460
Total Expenses	49,077	45,866	113,624	99,993	162,701	145,859
Increase (Decrease) in net position before transfers	18,684	35,050	9,311	17,288	27,995	52,338
Transfers	1,625	1,872	(1,625)	(1,872)	-	-
Increase (Decrease) in net position	20,309	36,922	7,686	15,416	27,995	52,338
Net Position - Beginning	195,848	158,926	218,800	203,384	414,648	362,310
Net Position - Ending	$ 216,157	$ 195,848	$ 226,486	$ 218,800	$ 442,643	$ 414,648

In governmental activities, charges for services increased $662 thousand in 2023. Operating grants and contributions decreased by $494 thousand. Capital grants and contributions decreased $7.04 million. In the business type activities, charges for services increased by $7.21 million and costs of sales and service increased by $10.37 million due to increased sales during the year driven mainly by growth and a harsh cold snap in December 2022.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Overall expenses for 2023 were more than expenses in 2022 in the governmental activities by $3.21 million. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational and capital spending to a minimum for the fiscal year due to continued uncertainties regarding potential negative economic impacts of supply chain issues and inflation concerns.

FINANICIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental Funds

The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was $53.75 million while total fund balance was $56.15 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 108.48% of the total general fund expenditures in 2023 as compared to 97.55% in 2022.

The fund balance of the City's general fund increased by $11.76 million during the current fiscal year. Key factors in this increase were the significant increase of local tax revenues and intergovernmental revenues and decreases of accounts payables.

Proprietary Funds

The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by $7.69 million in 2023 as compared to $15.42 million in 2022.

Unrestricted net position of the proprietary funds amounted to $51.09 million as compared to $54.25 million in the prior year. The change in net position of the individual proprietary funds were as follows:

- Water and Sewer Fund - $4.61 million in 2023 compared to $7.16 million in 2022
- Natural Gas Fund - $24 thousand in 2023 compared to $3.17 million in 2022
- Electric Fund - $3.06 million in 2023 compared to $5.09 million in 2022

General Fund Budgetary Highlights
The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in a $29.21 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 58.1% was mainly for new and ongoing capital expenditures.

Budgeted revenues exceeded actual amounts by $5.83 million. The largest variances were related to intergovernmental revenues (delayed grant activities) and local taxes.

Actual expenditures and transfers out were under budget by $19.14 million, partially due to department heads holding spending and partially due to large projects that were budgeted for this year that will continue into next year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets
At the end of Fiscal Year 2023 the City had invested $395.64 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 5.7%. Additional information on the City's capital assets can be found in Note 1 on page 41 and Note 6, beginning on page 53 of this report.

Long-term Debt
At the end of the current fiscal year, the City had long-term debt outstanding of $73.63 million as compared to $78.81 million at the end of the prior fiscal year. Of this amount, $24.36 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds. Information on the City's long-term debt can be found in Note 7 beginning on page 56 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

General Fund Revenue
Most general revenue taxes and charges for services showed modest-to-moderate growth. Grants and contributions decreased in 2023 as did Other Revenue Sources with the biggest contributing factor being federal American Rescue Plan Act (ARPA) Revenue received in 2022.

General Fund Expenditures and Capital Outlay
Departments were encouraged to be prudent and frugal with spending due to uncertainty regarding supply chain issues and inflation concerns. Most capital funding was to complete existing, ongoing projects, to purchase critical equipment, or for grant funded projects.

General Fund Balance

At the end of the current fiscal year, unassigned fund balance in the general fund was $53.75 million. The increase from the previous year was related to better than anticipated revenue collections, delayed capital expenditures and conservative operating expenditures. Departments city-wide are implementing various changes to function more efficiently and more economically.

Next Year's Budget and Rates

The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. While preparing the next budget in the midst of the inflation uncertainty, management took a conservative approach to revenue projections. Spending increases were focused on employee retention measures and new capital to keep pace with the needs and wants of a rapidly growing population. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin, 132 West Main Street, Gallatin, TN, 37066.

City of Gallatin, Tennessee
Statement of Net Position
June 30, 2023

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash equivalents	$ 54,379,311	$ 49,749,098	$ 104,128,409
Certificates of deposit	9,505,150	5,328,776	14,833,926
Investments	21,025	-	21,025
Receivables, net of allowance for uncollectibles	21,632,963	10,222,113	31,855,076
Inventories	68,043	8,038,260	8,106,303
Prepaid items and other assets	11,102	114,871	125,973
Restricted assets			
Cash and cash equivalents	5,229,345	641,155	5,870,500
TCRS Stabilization Fund	1,086,305	254,852	1,341,157
Capital assets			
Land and construction in progress	13,780,889	5,971,219	19,752,108
Other capital assets, net of accumulated depreciation	161,205,587	214,682,229	375,887,816
Total assets	266,919,720	295,002,573	561,922,293
Deferred Outflows of Resources			
Deferred charge on refunding	-	2,444,656	2,444,656
Deferred outflows related to pensions	660,931	3,581,789	4,242,720
Deferred outflows related to OPEB	-	-	-
Total deferred outflows of resources	660,931	6,026,445	6,687,376
Total assets and deferred outflows of resources	**$ 267,580,651**	**$ 301,029,018**	**$ 568,609,669**

Continued

City of Gallatin, Tennessee
Statement of Net Position
June 30, 2023

	Governmental Activities	Business-type Activities	Total
Liabilities			
Accounts payable and accrued expenses	$ 2,320,682	$ 13,686,006	$ 16,006,688
Unearned revenues	115,514	-	115,514
Accrued interest	419,827	-	419,827
Deposits held	-	5,787,182	5,787,182
Other deposits	5,010,655	-	5,010,655
Aid to construction	-	5,206,874	5,206,874
Other liabilities	-	1,579	1,579
Long-term debt, current portion	2,093,501	3,198,478	5,291,979
Long-term lease liabilities, current portion	-	1,299	1,299
Other long-term liabilities, current portion	1,712,715	690,768	2,403,483
Long-term debt, net of current portion	24,062,458	44,272,296	68,334,754
Other long- term liabilities, net of current portion	478,527	390,227	868,754
OPEB liability	-	526,990	526,990
Net pension liability	194,396	553,494	747,890
Total liabilities	36,408,275	74,315,193	110,723,468
Deferred Inflows of Resources			
Deferred current property taxes	14,979,744	-	14,979,744
Deferred inflows related to pensions	35,235	228,120	263,355
Deferred inflows related to OPEB	-	-	-
Total deferred inflows of resources	15,014,979	228,120	15,243,099
Net Position			
Net investment in capital assets	148,606,993	175,181,523	323,788,516
Restricted for:			
Pension benefits	891,909	207,036	1,098,945
Capital projects	6,782,529	-	6,782,529
Funds held in trust	444,634	-	444,634
Environmental services	1,988,232	-	1,988,232
Drug enforcement	224,920	-	224,920
Stormwater	3,201,198	-	3,201,198
Other purposes	-	7,810	7,810
Perpetual care			
Expendable	16,653	-	16,653
Nonexpendable	21,025	-	21,025
Unrestricted	53,979,304	51,089,336	105,068,640
Total net position	216,157,397	226,485,705	442,643,102
Total liabilities, deferred inflows of resources, and net position	**$ 267,580,651**	**$ 301,029,018**	**$ 568,609,669**

City of Gallatin, Tennessee
Statement of Activities
For the Fiscal Year Ended June 30, 2023

		Program Revenues			Net (Expenses) Revenues and Changes in Net Position		
			Operating	Capital	Primary Government		
		Charges for	Grants and	Grants and	Governmental	Business-type	
Functions/Programs	**Expenses**	**Services**	**Contributions**	**Contributions**	**Activities**	**Activities**	**Total**
Primary Government							
Governmental Activities							
Administrative and general	$ 11,491,711	$ 6,252,744	$ 1,546,858	$ -	$ (3,692,109)	$ -	$ (3,692,109)
Public safety	21,445,885	823,041	571,070	-	(20,051,774)	-	(20,051,774)
Engineering	3,045,455	-	17,500	-	(3,027,955)	-	(3,027,955)
Environmental	3,499,967	3,269,469	45,203	-	(185,295)	-	(185,295)
Public works	815,980	-	9,375	-	(806,605)	-	(806,605)
Highways and streets	1,700,671	-	1,672,656	8,345,507	8,317,492	-	8,317,492
Vehicle maintenance	415,838	45,799	12,500	-	(357,539)	-	(357,539)
Recreation	5,579,699	2,547,386	13,000	-	(3,019,313)	-	(3,019,313)
Economic development	477,555	-	7,500	-	(470,055)	-	(470,055)
Interest on long-term debt	602,819	-	-	-	(602,819)	-	(602,819)
Total governmental activities	49,075,580	12,938,439	3,895,662	8,345,507	(23,895,972)	-	(23,895,972)
Business-type Activities							
Electric	77,786,114	77,406,019	-	4,158,400	-	3,778,305	3,778,305
Water and sewer	16,836,539	19,126,293	-	2,253,812	-	4,543,566	4,543,566
Gas	19,001,406	19,163,841	-	-	-	162,435	162,435
Total business-type activities	113,624,059	115,696,153	-	6,412,212	-	8,484,306	8,484,306
Total primary government	**$ 162,699,639**	**$ 128,634,592**	**$ 3,895,662**	**$ 14,757,719**	(23,895,972)	8,484,306	(15,411,666)
General Revenues							
Taxes							
Property taxes, levied for general government					14,214,670	-	14,214,670
In lieu of taxes, other governments					716,406	-	716,406
Sales taxes					20,594,060	-	20,594,060
Franchise taxes					397,976	-	397,976
Alcoholic beverage taxes					2,137,608	-	2,137,608
Business taxes					2,315,524	-	2,315,524
Income taxes					755	-	755
Miscellaneous state taxes					141,567	-	141,567
Other sources					720,038	-	720,038
Unrestricted investment earnings					847,158	886,820	1,733,978
Gain (loss) on sales of assets					494,844	(60,207)	434,637
Transfers, net					1,624,804	(1,624,804)	-
Total general revenues, contributions, and transfers					44,205,410	(798,191)	43,407,219
Change in net position					20,309,438	7,686,115	27,995,553
Net position, beginning of year					195,847,959	218,799,590	414,647,549
Net position, end of year					**$ 216,157,397**	**$ 226,485,705**	**$ 442,643,102**

See notes to financial statements

City of Gallatin, Tennessee
Balance Sheet
Governmental Funds
June 30, 2023

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Assets				
Cash and cash equivalents	$ 41,845,952	$ 7,006,053	$ 5,527,306	$ 54,379,311
Certificates of deposit	9,505,150	-	-	9,505,150
Investments	-	-	21,025	21,025
Receivables				
Interest	333,946	-	-	333,946
Taxes (net of allowance of $273,992)	14,645,799	-	-	14,645,799
Accounts (net of allowance of $20,937)	564,480	-	524,185	1,088,665
Fines (net of allowance of $2,231,602)	7,522	-	-	7,522
Grants	841,155	-	-	841,155
Intergovernmental	4,131,475	-	-	4,131,475
Inventories	51,333	-	16,710	68,043
Prepaid expense	-	-	11,102	11,102
Restricted assets				
Cash and cash equivalents	5,229,345	-	-	5,229,345
TCRS Stabilization Fund	1,031,697	-	54,608	1,086,305
Total assets	**$ 78,187,854**	**$ 7,006,053**	**$ 6,154,936**	**$ 91,348,843**
Liabilities				
Accounts payable	$ 1,238,721	$ 223,524	$ 132,265	$ 1,594,510
Retainage payable	-	-	-	-
Accrued expenses	726,172	-	-	726,172
Unearned revenues	77,520	-	-	77,520
Unearned evidence funds	-	-	65,006	65,006
Performance deposits	5,010,655	-	-	5,010,655
Total liabilities	7,053,068	223,524	197,271	7,473,863
Deferred Inflows of Resources				
Unavailable revenues, property tax	14,979,744	-	-	14,979,744
Unavailable revenues, court fines	7,521	-	-	7,521
Total deferred inflows of resources	14,987,265	-	-	14,987,265

Continued

City of Gallatin, Tennessee
Balance Sheet
Governmental Funds
June 30, 2023

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Fund Balances				
Nonspendable				
Prepaid items	-	-	11,102	11,102
Funds held in trust	-	-	21,025	21,025
Inventories	51,333	-	16,710	68,043
Restricted for				
Capital projects	-	6,782,529	-	6,782,529
Funds held in trust	-	-	444,634	444,634
Environmental services	-	-	1,988,232	1,988,232
Drug enforcement	-	-	160,170	160,170
Economic development	-	-	-	-
Stormwater	-	-	3,201,198	3,201,198
Hybrid Retirement Stabilization Funds	1,031,697	-	54,608	1,086,305
Committed for				
Economic development	273,799	-	-	273,799
Occupancy tax	1,041,177			1,041,177
Assigned for				
Capital projects	-	-	-	-
Police special projects	-	-	43,333	43,333
Cemetery	-	-	16,653	16,653
Unassigned	53,749,515	-	-	53,749,515
Total fund balances	56,147,521	6,782,529	5,957,665	68,887,715
Total liabilities, deferred inflows of resources, and fund balance	**$ 78,187,854**	**$ 7,006,053**	**$ 6,154,936**	**$ 91,348,843**

City of Gallatin, Tennessee

Reconciliation of Balance Sheet to Statement of Net Position
Governmental Funds
June 30, 2023

Amounts reported for fund balance, total governmental funds	$	68,887,715
Amounts reported for governmental activities in the statement of net position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.		174,986,476
Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be amortized and recognized as components of the related expense in future years.		625,696
Net pension assets and liabilities are not due in the current period and, therefore, are not reported in the funds.		(194,396)
Receivables are not available to pay for current period expenditures and, therefore, are deferred or not reported in the funds.		618,935
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not recorded in the funds.		(28,767,029)
Net position of governmental activities	**$**	**216,157,397**

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Governmental Funds
For the Fiscal Year Ended June 30, 2023

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Revenues				
Local taxes	$ 34,020,171	$ -	$ -	$ 34,020,171
Licenses and permits	3,694,996	-	-	3,694,996
Intergovernmental revenues	16,130,376	916,536	-	17,046,912
Charges for services	3,148,588	-	5,271,814	8,420,402
Fines	748,936	-	74,105	823,041
Other	1,988,248	597,100	245,970	2,831,318
Total revenues	59,731,315	1,513,636	5,591,889	66,836,840
Expenditures				
Current				
General government	9,634,216	-	-	9,634,216
Public safety	23,403,783	-	127,553	23,531,336
Engineering	2,857,815	-	-	2,857,815
Environmental services	-	-	3,295,676	3,295,676
Public works	3,056,827	-	-	3,056,827
Highways and streets	1,437,998	-	-	1,437,998
Vehicle maintenance	429,544	-	-	429,544
Parks and recreation	5,527,163	-	-	5,527,163
Economic development	506,618	-	-	506,618
Debt service				
Principal	1,780,000	-	-	1,780,000
Interest	911,850	-	-	911,850
Other debt service expense	1,253	-	-	1,253
Capital outlay	-	2,793,524	827,182	3,620,706
Total expenditures	49,547,067	2,793,524	4,250,411	56,591,002
Excess (deficiency) of revenues over expenditures	10,184,248	(1,279,888)	1,341,478	10,245,838
Other financing sources (uses)				
Transfers in, in lieu of taxes	1,824,463	-	-	1,824,463
Transfers in/(out)	(247,088)	-	(98,236)	(345,324)
Total other financing sources (uses)	1,577,375	-	(98,236)	1,479,139
Change in fund balance	11,761,623	(1,279,888)	1,243,242	11,724,977
Fund balance, beginning of year	44,385,898	8,062,417	4,714,423	57,162,738
Fund balance, end of year	**$ 56,147,521**	**$ 6,782,529**	**$ 5,957,665**	**$ 68,887,715**

City of Gallatin, Tennessee

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balance
of Governmental Funds to the Statement of Activities
For the Fiscal Year Ended June 30, 2023

Net change in fund balance, total governmental funds	$ 11,724,977
Amounts reported for governmental activities in the statement of activities are different because:	
Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense.	
Depreciation expense	7,828,471
The net effect of various transactions involving capital assets (i.e., sales, trade-ins, and contributed assets) is to increase net position	6,777,589
Revenues in the statement of activities that do not provide current financial financial resources are not reported as revenues in the funds, and revenues received in the current year that were accrued in the statement of activities in prior years are reported as revenues in the funds.	(5,708,550)
The issuance of long-term debt provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effects of premiums, discounts, losses on refunding's, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the statement of activities. This amount is the net effect of these differences in the treatment of long-term debt and related items.	2,057,666
Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. Other items such as contributions to pension funds are expensed in the funds while an actuarially determined expense amount is included in the statement of activities.	(2,370,715)
Change in net position of governmental activities	**$ 20,309,438**

City of Gallatin, Tennessee
Statement of Net Position
Proprietary Funds
June 30, 2023

	Electric Department	Water and Sewer Dept	Gas Department	Total
Assets				
Current assets				
Cash and cash equivalents, general	$ 17,520,849	$ 24,864,170	$ 7,364,079	$ 49,749,098
Cash and cash equivalents, restricted	7,810	510,359	122,986	641,155
Certificates of deposit	5,328,776	-	-	5,328,776
Accounts receivable, trade, net of allowance for doubtful accounts	7,163,136	1,748,351	1,204,285	10,115,772
Prepayments and other current assets	114,871	-	-	114,871
Materials and supplies	3,505,364	1,173,287	3,359,609	8,038,260
Non-current receivables, current portion	840	-	-	840
Total current assets	33,641,646	28,296,167	12,050,959	73,988,772
Other assets				
Other receivables	104,915	-	-	104,915
TCRS Stabilization Fund	-	187,457	67,395	254,852
TVA contracts receivables, home weatherization	1,426	-	-	1,426
Less: amount due within one year	(840)	-	-	(840)
Total other assets	105,501	187,457	67,395	360,353
Capital assets				
Land	2,885,957	1,736,014	231,447	4,853,418
Construction in progress	1,117,801	-	-	1,117,801
Other capital assets, net of depreciation				
Transmission plant	968,615	-	-	968,615
Distribution plant	32,274,494	108,039,273	44,062,055	184,375,822
General plant	3,011,319	-	-	3,011,319
General plant, right to use leased equipment	1,143	-	-	1,143
Buildings	-	23,832,769	1,527,971	25,360,740
Operating equipment	-	428,857	103,442	532,299
Rolling stock	-	338,439	72,009	410,448
Office furniture and equipment	-	(3,646)	25,489	21,843
Total capital assets	40,259,329	134,371,706	46,022,413	220,653,448
Total assets	74,006,476	162,855,330	58,140,767	295,002,573
Deferred Outflows of Resources				
Deferred charge on bond refunding	-	2,444,656	-	2,444,656
Deferred outflows related to pensions	3,423,069	118,670	40,050	3,581,789
Deferred outflows related to OPEB	-	-	-	-
Total deferred outflows of resources	3,423,069	2,563,326	40,050	6,026,445
Total assets and deferred outflows of resources	**$ 77,429,545**	**$ 165,418,656**	**$ 58,180,817**	**$ 301,029,018**

Continued

City of Gallatin, Tennessee
Statement of Net Position
Proprietary Funds
June 30, 2023

	Electric Department	Water and Sewer Dept	Gas Department	Total
Liabilities				
Current liabilities				
Accounts payable	$ 11,480,556	$ 324,663	$ 881,756	$ 12,686,975
Retainage payable	-	510,359	122,986	633,345
Other accrued expenses	363,510	370	1,806	365,686
Customers' deposits	4,977,876	527,514	281,792	5,787,182
Accrued leave	289,110	339,721	61,937	690,768
Lease liabilities, current portion	1,299	-	-	1,299
Long-term debt, current portion	2,139	2,960,079	236,260	3,198,478
Total current liabilities	17,114,490	4,662,706	1,586,537	23,363,733
Long-term liabilities				
Bonds payable (less current maturities)	-	36,605,000	4,515,000	41,120,000
Accrued leave	171,378	155,221	63,628	390,227
TVA advances payable, home weatherization	1,579	-	-	1,579
Aid to construction	5,206,874	-	-	5,206,874
Net pension liability	505,678	35,564	12,252	553,494
OPEB liability	526,990	-	-	526,990
Bond premiums	-	2,884,806	267,490	3,152,296
Total long-term liabilities	6,412,499	39,680,591	4,858,370	50,951,460
Total liabilities	23,526,989	44,343,297	6,444,907	74,315,193
Deferred Inflows of Resources				
Deferred inflows related to pensions	220,491	5,984	1,645	228,120
Total liabilities and deferred inflows of resources	23,747,480	44,349,281	6,446,552	74,543,313
Net Position				
Net investment in capital assets	40,258,030	94,258,677	40,664,816	175,181,523
Restricted for:				
Workers' compensation adjustment	7,810	-	-	7,810
Pension benefits	-	151,893	55,143	207,036
Unrestricted	13,416,225	26,658,805	11,014,306	51,089,336
Total net position	53,682,065	121,069,375	51,734,265	226,485,705
Total liabilities, deferred inflows of resources, and net position	**$ 77,429,545**	**$ 165,418,656**	**$ 58,180,817**	**$ 301,029,018**

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Net Position
Proprietary Funds
For the Fiscal Year Ended June 30, 2023

	Electric Department	Water and Sewer Dept	Gas Department	Total
Operating Revenues				
Charges for sales and service	$ 76,292,985	$ 18,723,929	$ 18,846,525	$ 113,863,439
Fines and forfeitures	292,406	128,457	-	420,863
Other operating revenue	820,628	273,907	317,316	1,411,851
Total operating revenues	77,406,019	19,126,293	19,163,841	115,696,153
Operating Expenses				
Cost of sales and service	64,561,537	-	15,627,368	80,188,905
Water treatment and pumping	-	2,729,294	-	2,729,294
Transmission and distribution	5,771,380	2,477,257	630,964	8,879,601
Customer service and collection	956,731	779,212	734,945	2,470,888
General administration	2,549,194	1,444,118	519,245	4,512,557
Sewer collection	-	1,216,513	-	1,216,513
Sewer system rehab	-	521,631	-	521,631
Sewer treatment and disposal	-	1,799,249	-	1,799,249
Sewer pretreatment	-	101,138	-	101,138
Maintenance	1,654,192	-	-	1,654,192
Customer deposit interest	46,751	-	-	46,751
Amortization, acquisition adjustment	3,347	-	-	3,347
Provision for depreciation	2,242,982	4,783,198	1,345,378	8,371,558
Total operating expenses	77,786,114	15,851,610	18,857,900	112,495,624
Operating income (loss)	(380,095)	3,274,683	305,941	3,200,529
Non-operating revenues (expenses)				
Interest and other income	320,998	306,916	258,906	886,820
Tap fees	-	722,672	-	722,672
Amortization of bond premiums	-	365,733	-	365,733
Interest and other expense	-	(1,350,662)	(143,506)	(1,494,168)
Other gains and losses	-	(60,591)	384	(60,207)
Total non-operating revenues (expenses)	320,998	(15,932)	115,784	420,850
Income before contributions and transfers	(59,097)	3,258,751	421,725	3,621,379
Capital contributions	4,158,400	1,531,140	-	5,689,540
Transfers in ARPA fund	-	178,579	21,080	199,659
Transfers out, in lieu of taxes	(1,043,191)	(362,330)	(418,942)	(1,824,463)
Change in net position	3,056,112	4,606,140	23,863	7,686,115
Net position, beginning of year	50,625,953	116,463,235	51,710,402	218,799,590
Net position, end of year	**$ 53,682,065**	**$ 121,069,375**	**$ 51,734,265**	**$ 226,485,705**

City of Gallatin, Tennessee
Statement of Cash Flows
Proprietary Funds
For the Fiscal Year Ended June 30, 2023

	Electric Department	Water and Sewer Dept	Gas Department	Total
Cash flows from operating activities				
Cash received from customers	$ 78,191,430	$ 19,083,221	$ 19,268,066	$ 116,542,717
Cash payments to suppliers for goods and services	(73,869,795)	(5,900,263)	(18,417,487)	(98,187,545)
Cash payments to employees for services	(3,823,310)	(4,904,613)	(1,683,418)	(10,411,341)
Interest payments on customer deposits	(25,385)	-	-	(25,385)
Net decrease in TVA loan funds receivable	3,931	-	-	3,931
Net decrease in TVA loan funds payable	(4,495)	-	-	(4,495)
Net cash provided (used) by operating activities	472,376	8,278,345	(832,839)	7,917,882
Cash flows from noncapital financing activities				
Transfers out	(1,043,191)	(362,330)	(418,942)	(1,824,463)
Transfers in	-	178,579	21,080	199,659
Net cash provided (used) by noncapital financing activities	(1,043,191)	(183,751)	(397,862)	(1,624,804)
Cash flows from capital and related financing activities				
Capital contributions by customers and grants	4,158,400	-	-	4,158,400
Proceeds from tap fees	-	722,672	-	722,672
Principal paid on debt	-	(2,480,000)	(210,000)	(2,690,000)
Interest paid on bonds, notes, and leases	-	(1,797,002)	(316,335)	(2,113,337)
Construction and acquisition of plant	(3,881,798)	(3,432,116)	(5,115,644)	(12,429,558)
Plant removal cost	(122,237)	-	-	(122,237)
Salvage	581,788	-	-	581,788
Other	-	(60,591)	384	(60,207)
Net cash provided (used) by capital and related financing activities	736,153	(7,047,037)	(5,641,595)	(11,952,479)
Cash flows from investing activities				
Purchase of certificates of deposit	(564,600)	-	-	(564,600)
Interest and other income	316,019	306,916	258,906	881,841
Net cash provided (used) by investing activities	(248,581)	306,916	258,906	317,241
Net change in cash and cash equivalents	(83,243)	1,354,473	(6,613,390)	(5,342,160)
Cash and cash equivalents, beginning of year	17,611,902	24,020,056	14,100,455	55,732,413
Cash and cash equivalents, end of year	**$ 17,528,659**	**$ 25,374,529**	**$ 7,487,065**	**$ 50,390,253**
Cash and Cash Equivalents				
Unrestricted cash and cash equivalents on deposit	$ 17,520,849	$ 24,864,170	$ 7,364,079	$ 49,749,098
Restricted cash and cash equivalents on deposit	7,810	510,359	122,986	641,155
Total cash and cash equivalents	**$ 17,528,659**	**$ 25,374,529**	**$ 7,487,065**	**$ 50,390,253**

City of Gallatin, Tennessee
Statement of Cash Flows
Proprietary Funds
For the Fiscal Year Ended June 30, 2023

	Electric Department	Water and Sewer Dept	Gas Department	Total
Reconciliation of operating income to net cash provided (used) by operating activities				
Operating income (loss)	$ (380,095)	$ 3,274,683	$ 305,941	$ 3,200,529
Adjustments to reconcile operating income to net cash provided (used) by operating activities				
Depreciation and amortization of acquisition costs	2,430,468	4,783,198	1,345,378	8,559,044
Recovery of bad debt	-	9,436	4,812	14,248
Change in:				
Accounts receivable	785,411	(58,846)	95,970	822,535
Materials and supplies	(1,217,112)	(205,548)	(1,456,443)	(2,879,103)
Prepayments and other current assets	(23,390)	-	39,467	16,077
TVA contracts receivable	3,931	-	-	3,931
Deferred outflows of resources	(2,119,060)	(40,617)	(13,446)	(2,173,123)
TCRS stabilization fund	-	(37,454)	(17,025)	(54,479)
Pension asset	-	12,550	3,677	16,227
Accounts payable	(587,836)	418,021	(1,167,718)	(1,337,533)
Other accrued expenses	78,414	-	16	78,430
Customers' deposits	(129,540)	15,774	8,255	(105,511)
Accrued leave	70,752	102,091	16,123	188,966
Lease liability	(3,710)	-	-	(3,710)
TVA contracts payable	(4,495)	-	-	(4,495)
Pension liability	3,336,689	35,564	12,252	3,384,505
OPEB liability	(103,255)	-	-	(103,255)
Deferred inflows of resources	(1,664,796)	(30,507)	(10,098)	(1,705,401)
Net cash provided (used) by operating activities	**$ 472,376**	**$ 8,278,345**	**$ (832,839)**	**$ 7,917,882**
Supplemental disclosure of noncash capital and related financing activities				
Utility plant additions financed accounts payable	$ -	$ 6,277	$ 383,919	$ 390,196
Utility plant additions financed by retainage payable	-	510,359	122,986	633,345
Developer contributions of systems	-	1,531,140	-	1,531,140
	$ -	**$ 2,047,776**	**$ 506,905**	**$ 2,554,681**

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Revenues				
Local taxes				
Property taxes, current	$ 13,512,000	$ 13,559,250	$ 13,948,371	389,121
Property taxes, delinquent	150,000	150,000	214,361	64,361
Property taxes, penalty and interest	60,000	60,000	51,938	(8,062)
Local sales taxes	13,750,000	14,050,000	15,289,504	1,239,504
Local beer taxes	1,228,000	1,228,000	1,193,410	(34,590)
Local liquor taxes	557,000	557,000	609,087	52,087
Business taxes	1,198,000	1,198,000	1,883,802	685,802
Privilege taxes	28,000	28,000	33,432	5,432
Cable taxes	465,000	465,000	397,976	(67,024)
Occupancy taxes	309,000	309,000	393,171	84,171
Special assessments	5,000	5,000	5,119	119
Total local taxes	31,262,000	31,609,250	34,020,171	2,410,921
Licenses and permits				
Beer licenses	5,000	5,000	8,150	3,150
Building permits	875,000	875,000	1,087,640	212,640
Plumbing permits	225,000	225,000	304,539	79,539
Planning fees	325,000	325,000	442,793	117,793
Other mechanical permits	350,000	350,000	409,250	59,250
Other permits	1,290,000	1,290,000	1,442,624	152,624
Total licenses and permits	3,070,000	3,070,000	3,694,996	624,996
Fines and forfeitures				
Fines and forfeitures	334,250	434,250	553,687	119,437
ACES red light revenue	120,000	120,000	169,031	49,031
Drug fines	19,500	19,500	26,218	6,718
Total fines and forfeitures	473,750	573,750	748,936	175,186
Intergovernmental revenues				
In lieu of tax, housing authority	3,600	3,600	3,672	72
In lieu of tax, industry	161,000	161,000	178,528	17,528
State sales tax	4,884,000	4,884,000	5,304,556	420,556
State income tax	-	-	755	755
State beer tax	20,500	20,500	20,288	(212)
State mixed drink tax	225,000	225,000	314,823	89,823
State gas and motor fuel tax	1,584,000	1,584,000	1,543,508	(40,492)
State petroleum special	80,500	80,500	81,398	898
State telecomm	-	-	18	18
State TVA in lieu of tax	462,000	462,000	534,206	72,206
State excise tax	115,000	115,000	141,549	26,549
State salary supplements	-	128,000	128,000	-
Other federal grants	747,766	16,421,918	7,505,566	(8,916,352)
Sidewalk grant	-	1,255,947	75,519	(1,180,428)
Government highway safety grant	-	-	-	-
Other state grants	4,500	504,500	297,990	(206,510)
Total intergovernmental revenues	8,287,866	25,845,965	16,130,376	(9,715,589)

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Revenues				
Charges for services				
Admin and management services	180,000	180,000	245,001	65,001
Accounting and management services	95,766	95,766	95,766	-
Personnel services	50,629	50,629	50,629	-
Other legal services	108,361	108,361	108,361	-
Miscellaneous	23,000	23,000	6,946	(16,054)
Vehicle maintenance charges	220,000	220,000	45,799	(174,201)
Rent	35,000	35,000	48,700	13,700
Golf course revenue	866,000	1,041,000	1,556,540	515,540
Civic center revenue	779,800	779,800	990,846	211,046
Total charges for services	2,358,556	2,533,556	3,148,588	615,032
Miscellaneous revenues				
Miscellaneous	71,000	1,050,920	160,474	(890,446)
Sale of cemetery lots	500	500	-	(500)
Sale of materials	2,000	2,000	15,837	13,837
Sale of equipment	30,000	145,460	179,502	34,042
Donations	475,000	477,141	519,327	42,186
Insurance recoveries	-	97,421	283,782	186,361
Interest	50,000	160,000	829,326	669,326
Total miscellaneous revenues	628,500	1,933,442	1,988,248	54,806
Total revenues	46,080,672	65,565,963	59,731,315	(5,834,648)
Expenditures				
General government				
Mayor's office				
Salaries	290,939	290,939	286,162	4,777
Employee benefits and taxes	74,464	74,464	75,817	(1,353)
Official fees	48,650	48,650	37,308	11,342
Printing and publications	8,800	8,800	11,276	(2,476)
Membership fees	52,000	52,000	51,558	442
Utilities	3,000	3,000	828	2,172
Other professional services	115,000	115,000	318,237	(203,237)
Travel and meals	17,500	17,500	13,114	4,386
Mayor's expenses	5,000	5,000	4,330	670
Council expenses	14,000	14,000	5,658	8,342
Office supplies	6,850	6,850	2,332	4,518
Repairs and maintenance	20,000	20,000	-	20,000
Payments in lieu of tax	209,000	209,000	208,638	362
County portion of liquor tax	120,000	120,000	184,702	(64,702)
Discounts on taxes	14,000	14,000	12,368	1,632
Grants and donations	6,000	6,000	3,681	2,319
RTA program	55,597	55,597	55,597	-
Prizes and awards	16,000	16,000	13,253	2,747
Miscellaneous	41,850	41,850	(189,605)	231,455
Capital outlay	109,500	3,075,925	23,466	3,052,459
Total mayor's office	1,228,150	4,194,575	1,118,720	3,075,855

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	**Final**	**amounts**	**final budget**
Expenditures				
General government				
Finance department				
Salaries	551,930	551,930	470,514	81,416
Employee benefits and taxes	148,956	148,956	119,760	29,196
Postage	4,000	4,000	2,210	1,790
Printing and publications	3,750	3,750	2,721	1,029
Membership fees	1,000	1,000	310	690
Utilities	870	870	700	170
Accounting services	80,000	80,000	80,750	(750)
Repairs and maintenance	1,000	1,000	753	247
Training	2,000	2,000	790	1,210
Operating supplies	4,750	4,750	4,063	687
Miscellaneous	1,700	1,700	(7,411)	9,111
Capital outlay	3,500	69,500	-	69,500
Total finance department	803,456	869,456	675,160	194,296
City recorder				
Salaries	345,311	345,311	250,987	94,324
Employee benefits and taxes	128,865	128,865	88,007	40,858
Postage	16,000	16,000	16,188	(188)
Printing and publications	600	600	765	(165)
Membership fees	3,000	3,000	598	2,402
Utilities	-	-	452	(452)
Data processing services	20,000	20,000	-	20,000
Other professional services	206,000	311,577	583	310,994
Travel	1,500	1,500	-	1,500
Other contractual services	5,000	5,000	3,457	1,543
Office supplies	4,000	4,000	3,783	217
Miscellaneous	12,250	12,250	16,543	(4,293)
Capital outlay	-	-	-	-
Total city recorder	742,526	848,103	381,363	466,740
Risk management				
HRA expense	200,000	200,000	170,939	29,061
Workers compensation	350,000	442,250	456,322	(14,072)
ADA transition plan	-	-	-	-
Building insurance	125,000	125,000	90,976	34,024
General liability	400,000	400,000	390,658	9,342
Total risk management	1,075,000	1,167,250	1,108,895	58,355

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
General government				
Attorney				
Salaries	389,448	390,685	382,970	7,715
Employee benefits and taxes	98,901	99,107	91,845	7,262
Printing and publications	2,800	2,800	2,444	356
Licenses	650	650	-	650
Tax law and other publications	11,000	11,000	12,426	(1,426)
Membership fees	3,000	3,000	3,486	(486)
Utilities	1,400	1,400	1,024	376
Legal services	35,000	70,000	93,951	(23,951)
Other professional services	10,000	10,000	325	9,675
Travel and meals	4,250	4,250	4,814	(564)
Training	3,500	3,500	3,212	288
Office supplies	650	650	256	394
Educational supplies	39,974	39,974	(4,182)	44,156
Miscellaneous	8,200	8,200	1,372	6,828
Capital outlay	-	368	-	368
Total attorney	608,773	645,584	593,943	51,641
Information technology				
Salaries	590,223	590,223	577,308	12,915
Employee benefits and taxes	182,628	182,628	176,004	6,624
Copier expense	250	250	230	20
Membership fees	500	500	-	500
Utilities	5,000	5,000	4,441	559
Other professional services	635,886	660,886	123,038	537,848
Other contractual services	863,737	863,737	841,260	22,477
Office supplies	1,500	1,500	2,208	(708)
Operating supplies	8,000	8,000	6,768	1,232
Miscellaneous	2,400	2,400	5,373	(2,973)
Capital outlay	610,406	633,862	360,605	273,257
Total information technology	2,900,530	2,948,986	2,097,235	851,751
Personnel				
Salaries	313,185	313,185	294,048	19,137
Employee benefits and taxes	118,231	118,231	88,437	29,794
Printing and publications	3,000	3,000	1,717	1,283
Utilities	625	625	521	104
Physicals	500	500	88	412
Professional services	11,625	11,625	-	11,625
Training	4,000	4,000	2,200	1,800
Office supplies	2,900	2,900	1,853	1,047
Operating supplies	500	500	2,489	(1,989)
Miscellaneous	7,650	7,650	5,913	1,737
Repairs and maintenance	-	-	1,970	(1,970)
Capital outlay	1,000	1,000	1,371	(371)
Total personnel	463,216	463,216	400,607	62,609

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	**Final**	**amounts**	**final budget**
Expenditures				
General government				
City planner				
Salaries	592,867	595,639	595,658	(19)
Employee benefits and taxes	199,567	200,028	189,900	10,128
Planning commission	18,000	18,000	18,175	(175)
Postage	1,000	1,000	271	729
Printing and publications	4,000	4,000	2,074	1,926
Membership fees	3,000	3,000	1,579	1,421
Utilities	4,000	4,000	2,781	1,219
Repairs and maintenance	1,700	1,700	79	1,621
Office supplies	4,300	4,300	2,128	2,172
Gas, oil, diesel, etc.	800	800	975	(175)
Miscellaneous	28,150	28,150	9,620	18,530
Capital outlay	3,200	6,700	3,442	3,258
Total city planner	860,584	867,317	826,682	40,635
Buildings				
Salaries	280,714	283,485	253,927	29,558
Employee benefits and taxes	101,458	101,919	84,354	17,565
Utilities	80,456	80,456	72,811	7,645
Repairs and maintenance	27,500	27,500	27,797	(297)
Other contractual services	18,000	18,000	43,904	(25,904)
Small equipment	2,000	2,000	1,396	604
Operating supplies	3,000	3,000	2,307	693
Janitorial supplies	7,000	7,000	8,080	(1,080)
Gas, oil, diesel, etc.	5,000	5,000	2,594	2,406
Miscellaneous	4,200	4,200	2,399	1,801
Capital outlay	15,000	116,670	11,817	104,853
Total buildings	544,328	649,230	511,386	137,844
Codes				
Salaries	1,164,661	1,164,661	1,070,924	93,737
Employee benefits and taxes	432,396	432,396	356,615	75,781
Postage	720	720	200	520
Printing and publications	10,800	10,800	2,829	7,971
Membership fees	5,000	5,000	3,201	1,799
Utilities	22,000	22,000	13,437	8,563
Repairs and maintenance	4,000	4,000	1,922	2,078
Other professional services	18,000	18,000	5,702	12,298
Office supplies	4,000	4,000	1,637	2,363
Gas, oil, diesel, etc.	15,500	15,500	17,883	(2,383)
Miscellaneous	60,800	60,800	86,128	(25,328)
Capital outlay	2,000	73,350	72,702	648
Total codes	1,739,877	1,811,227	1,633,180	178,047
Community services				
July 4th celebration	23,500	23,500	11,575	11,925
Appropriations to non-profits	275,470	275,470	275,470	-
Total community services	298,970	298,970	287,045	11,925
Total general government	11,265,410	14,763,914	9,634,216	5,129,698

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	**Final**	**amounts**	**final budget**
Expenditures				
Public safety				
Police				
Salaries	6,190,005	6,244,405	6,126,575	117,830
Employee benefits and taxes	2,565,506	2,567,791	2,101,332	466,459
Postage	3,000	3,000	3,257	(257)
Printing and publications	24,400	24,400	20,347	4,053
Membership fees	5,500	5,500	3,515	1,985
Public relations	1,500	1,500	1,356	144
Utilities	91,955	91,955	94,554	(2,599)
Physicals	12,000	12,000	16,142	(4,142)
Data processing services	25,000	25,000	20,658	4,342
Repairs and maintenance	148,500	148,500	221,819	(73,319)
Travel	25,000	35,206	18,044	17,162
Other contractual services	90,000	542,927	333,138	209,789
Inmate crew expense	1,200	1,200	-	1,200
Reserve officers expense	15,000	330,000	40,563	289,437
Office supplies	5,100	16,135	4,769	11,366
Small office equipment	3,000	19,501	13,749	5,752
Operating supplies	32,000	272,000	37,996	234,004
Janitorial supplies	1,500	1,500	3,419	(1,919)
Clothing and uniforms	45,000	45,000	82,029	(37,029)
Fire arm supplies	35,000	35,305	30,268	5,037
Other operating supplies	3,000	3,000	2,876	124
Gas, oil, diesel, etc.	165,500	165,500	267,740	(102,240)
Other supplies	3,000	3,000	1,680	1,320
Traffic light camera expense	110,000	110,000	86,934	23,066
Other grants and donations	1,025,462	1,025,462	1,410,484	(385,022)
Professional Services	-	26,410	26,410	-
Capital outlay	630,000	767,275	752,629	14,646
Total police	11,257,128	12,523,472	11,722,283	801,189
Fire				
Salaries	6,006,732	6,114,146	5,956,422	157,724
Employee benefits and taxes	2,368,738	2,373,106	2,080,896	292,210
Printing and publications	2,000	2,000	710	1,290
Membership fees	8,000	8,000	6,142	1,858
Utilities	88,805	88,805	80,380	8,425
Physicals	50,500	50,500	57,575	(7,075)
Repairs and maintenance	207,500	238,092	207,501	30,591
Travel	30,000	30,000	26,605	3,395
Other contractual services	49,000	49,000	32,655	16,345
Training	75,000	75,000	74,400	600
Office supplies	2,500	2,500	2,515	(15)
Small office equipment	500	500	571	(71)
Operating supplies	20,000	20,000	17,171	2,829
Janitorial supplies	12,000	12,000	11,374	626
Clothing and uniforms	50,000	50,000	47,520	2,480
Fire prevention supplies	8,000	8,000	7,853	147
Gas, oil, diesel, etc.	95,000	113,000	129,296	(16,296)
Miscellaneous	29,150	29,150	23,730	5,420
Capital outlay	2,232,000	3,572,842	2,918,184	654,658
Total fire	11,335,425	12,836,641	11,681,500	1,155,141
Total public safety	22,592,553	25,360,113	23,403,783	1,956,330

Continued

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
Engineering				
Salaries	581,945	650,784	565,674	85,110
Employee benefits and taxes	202,120	213,581	183,261	30,320
Printing	3,000	3,000	2,487	513
Licenses	1,500	1,500	2,445	(945)
Membership fees	1,785	1,785	680	1,105
Utilities	11,600	11,600	10,351	1,249
Professional services	325,000	370,158	26,138	344,020
Repairs and maintenance	24,000	24,000	19,846	4,154
Office supplies	2,000	2,000	1,604	396
Operating supplies	3,800	3,800	1,853	1,947
Gas, oil, diesel, etc.	4,000	4,000	3,757	243
Miscellaneous	4,750	4,750	1,417	3,333
Capital outlay	2,155,000	6,813,017	2,038,302	4,774,715
Total engineering	3,320,500	8,103,975	2,857,815	5,246,160
Public works				
Salaries	316,441	320,531	321,858	(1,327)
Employee benefits and taxes	113,306	113,987	103,969	10,018
Utilities	1,800	1,800	1,850	(50)
Repairs and maintenance	15,700	16,650	16,371	279
Gas, oil, diesel, etc.	24,000	24,000	18,887	5,113
Miscellaneous	413,950	435,548	354,691	80,857
Capital outlay	1,200,266	6,771,026	2,239,201	4,531,825
Total public works	2,085,463	7,683,542	3,056,827	4,626,715
Highways and streets				
Salaries	979,742	979,742	706,287	273,455
Employee benefits and taxes	547,322	547,322	261,352	285,970
Utilities	10,650	10,650	9,708	942
Physicals	1,000	1,000	2,653	(1,653)
Repairs and maintenance	162,000	165,000	131,601	33,399
Travel	1,000	1,000	1,120	(120)
Other contractual services	10,000	10,000	3,202	6,798
Operating supplies	2,500	2,500	2,320	180
Agricultural and horticultural supplies	4,000	4,000	7,906	(3,906)
Janitorial supplies	800	800	507	293
Clothing and uniforms	7,000	7,000	4,311	2,689
Other operating supplies	1,500	1,500	2,017	(517)
Gas, oil, diesel, etc.	63,000	63,000	61,284	1,716
Consumable tools	3,500	3,500	3,187	313
Sign parts and supplies	15,000	15,000	17,564	(2,564)
Demolition and mowing	20,000	20,000	6,396	13,604
Other supplies	1,500	1,500	633	867
Salt	40,000	40,000	37,741	2,259
Drainage materials	-	-	-	-
Inmate crew expense	10,000	10,000	6,472	3,528
Miscellaneous	16,800	35,800	10,465	25,335
Capital outlay	232,500	448,248	161,272	286,976
Total highways and streets	2,129,814	2,367,562	1,437,998	929,564

Continued

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
Vehicle maintenance				
Salaries	275,196	275,196	269,554	5,642
Employee benefits and taxes	121,299	121,299	91,667	29,632
Utilities	12,650	12,650	11,616	1,034
Repairs and maintenance	259,000	259,000	37,174	221,826
Operating supplies	1,500	1,500	2,247	(747)
Clothing and uniforms	1,000	1,000	1,106	(106)
Maintenance supplies	500	500	-	500
Gas, oil, diesel, etc.	4,500	4,500	3,366	1,134
Miscellaneous	4,100	4,100	620	3,480
Capital Outlay	15,500	17,380	12,194	5,186
Total vehicle maintenance	695,245	697,125	429,544	267,581
Parks and recreation				
Civic center				
Salaries	784,882	839,316	834,962	4,354
Employee benefits and taxes	166,507	175,570	173,057	2,513
Postage	1,500	1,500	1,500	-
Printing and publications	4,500	4,500	4,543	(43)
Utilities	213,500	213,500	253,417	(39,917)
Employee physicals	1,500	1,500	2,501	(1,001)
Repairs and maintenance	33,000	36,209	28,269	7,940
Other contractual services	125,000	125,000	116,635	8,365
Operating supplies	95,000	94,700	90,803	3,897
Food	60,000	60,000	58,957	1,043
Janitorial supplies	15,000	23,380	21,375	2,005
Miscellaneous	26,500	30,500	30,546	(46)
Capital outlay	65,000	215,000	49,688	165,312
Total civic center	1,591,889	1,820,675	1,666,253	154,422
Golf course				
Salaries	584,401	599,290	603,884	(4,594)
Employee benefits and taxes	186,867	189,346	170,943	18,403
Printing and publications	150	150	318	(168)
Membership fees	1,400	1,400	2,040	(640)
Utilities	44,200	44,200	42,750	1,450
Physicals	200	200	920	(720)
Repairs and maintenance	10,000	18,676	9,256	9,420
Other contractual services	12,000	12,000	15,017	(3,017)
Items for resale	10,000	75,000	45,173	29,827
Operating supplies	20,000	20,000	26,840	(6,840)
Agricultural and horticultural supplies	55,000	55,000	54,235	765
Food	30,000	45,000	56,062	(11,062)
Clothing and uniforms	1,200	1,200	182	1,018
Gas, oil, diesel, etc.	14,500	14,500	16,701	(2,201)
Other equipment parts	25,000	25,000	26,783	(1,783)
Repair parts for water/sewer lines	1,000	1,000	589	411
Beer for resale	15,000	25,000	23,399	1,601
Discount credit card	22,000	42,000	45,331	(3,331)
Miscellaneous	7,050	7,050	9,138	(2,088)
Capital outlay	353,000	470,150	335,318	134,832
Total golf course	1,392,968	1,646,162	1,484,879	161,283

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
Parks				
Salaries	882,079	884,680	895,553	(10,873)
Employee benefits and taxes	568,562	568,995	492,236	76,759
Printing and publications	1,500	1,500	1,312	188
Memberships	2,000	2,000	5,221	(3,221)
Public relations	10,000	10,000	6,419	3,581
Utilities	118,000	149,000	167,544	(18,544)
Repairs and maintenance	70,000	91,709	86,002	5,707
Travel	4,000	4,000	1,508	2,492
Other contractual services	55,000	85,000	85,444	(444)
Inmate crew meals	6,000	6,000	2,593	3,407
Small equipment	7,000	7,000	6,131	869
Operating supplies	75,000	96,734	81,031	15,703
Agricultural and horticultural supplies	25,000	25,000	16,320	8,680
Food	-	-	584	(584)
Gas, oil, diesel, etc.	60,000	60,000	76,110	(16,110)
Miscellaneous	3,400	3,400	4,504	(1,104)
Capital outlay	125,000	513,520	447,519	66,001
Total parks	2,012,541	2,508,538	2,376,031	132,507
Total parks and recreation	4,997,398	5,975,375	5,527,163	448,212
Economic development				
Economic development agency				
Salaries	257,882	263,814	259,232	4,582
Employee benefits and taxes	90,548	91,536	74,892	16,644
Printing and publications	5,000	7,900	8,017	(117)
Membership fees	13,000	13,000	31,043	(18,043)
Public relations	27,000	27,000	32,750	(5,750)
Utilities	1,800	1,800	1,443	357
Repairs and maintenance	500	1,500	2,156	(656)
Professional services	17,000	21,200	26,463	(5,263)
Travel	6,000	6,000	6,154	(154)
Office supplies	2,250	2,250	4,236	(1,986)
Gas, oil, diesel, etc.	1,250	1,250	647	603
Miscellaneous	20,600	30,600	20,182	10,418
Total economic development agency	442,830	467,850	467,215	635
Economic development utility				
Professional services	30,000	30,000	12,000	18,000
Repairs and maintenance	15,000	15,000	-	15,000
Grants and donations	7,500	7,500	-	7,500
Capital outlay	22,500	522,500	27,403	495,097
Total economic development utility	75,000	575,000	39,403	535,597
Total economic development	517,830	1,042,850	506,618	536,232

Continued

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
Debt service				
Principal	1,780,000	1,780,000	1,780,000	-
Interest	911,850	911,850	911,850	-
Bond fees	1,600	1,600	1,253	347
Total debt service	2,693,450	2,693,450	2,693,103	347
Total expenditures	50,297,663	68,687,906	49,547,067	19,140,839
Excess (deficiency) of revenues over (under) expenditures	(4,216,991)	(3,121,943)	10,184,248	13,306,191
Other financing sources (uses)				
In lieu of payment, utility	1,905,000	1,905,000	1,824,463	(80,537)
Transfers from the other funds	-	-	10,576,303	10,576,303
Transfers to the other funds	-	(10,823,391)	(10,823,391)	-
Total other financing sources (uses)	1,905,000	(8,918,391)	1,577,375	10,495,766
Net change in fund balance	(2,311,991)	(12,040,334)	11,761,623	23,801,957
Fund balance, beginning of year	44,385,898	44,385,898	44,385,898	-
Fund balance, end of year of year	**$ 42,073,907**	**$ 32,345,564**	**$ 56,147,521**	**$ 23,801,957**

City of Gallatin, Tennessee
Statement of Fiduciary Net Position - Fiduciary Funds
Electric Department
June 30, 2023

	Electric Dept Pension Trust	Electric Dept OPEB Trust
Assets		
Cash and cash equivalents	$ 420,020	$ 58,239
Receivables		
Employee contributions	4,450	-
Employer contributions	-	-
Investment income	29,886	278
Investments		
Mutual funds	2,028,396	225,102
US government and municipal obligations	1,533,115	-
Corporate bonds and debentures	4,021,205	-
Common stocks	5,087,639	235,228
Preferred stocks	37,500	-
Total assets	**$ 13,162,211**	**$ 518,847**
Liabilities and Net Position		
Liabilities		
Payables		
Benefits payable to plan sponsor	$ -	$ 21,933
Trustee/Custody fees	766	33
Investment management fees	15,428	609
Total liabilities	16,194	22,575
Net position		
Restricted for pension and OPEB benefits	13,146,017	496,272
Total liabilities and net position	**$ 13,162,211**	**$ 518,847**

City of Gallatin, Tennessee
Statement of Changes in Fiduciary Net Position - Fiduciary Funds
Electric Department
For the Fiscal Year Ended June 30, 2023

	Electric Dept Pension Trust	Electric Dept OPEB Trust
Additions		
Contributions		
Employees	$ 59,943	$ -
Employer	600,000	485,000
Total contributions	659,943	485,000
Investment income		
Net appreciation (depreciation) in fair value of investments	(1,691,167)	25,952
Interest and dividends	275,580	9,523
	(1,415,587)	35,475
Less: investment fees	(77,848)	(2,270)
Net investment gain	(1,493,435)	33,205
Total additions	(833,492)	518,205
Deductions		
Benefit payments	627,700	21,933
Change in net position	(1,461,192)	496,272
Net position, beginning of year	14,607,209	-
Net position, end of year	**$ 13,146,017**	**$ 496,272**

Note 1. **Summary of Significant Account Policies**

The City of Gallatin's financial statements are prepared in accordance with accounting principles generally accepted in the United States of America (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The more significant accounting policies established in GAAP and used by the City of Gallatin are discussed below.

Reporting Entity

The City of Gallatin, Tennessee (the City) operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, sanitation collection and disposal, stormwater, recreation, water and sewer, electricity, gas, and general administrative services. As required by GAAP, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related Organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority (the Housing Authority) and the Industrial Development Board of Gallatin, Tennessee (the IDB), but the City's accountability for these organizations does not extend beyond making the appointments. Board members of the Housing Authority and the IDB are appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Housing Authority and the IDB, and cannot impose its will upon the operations of the Housing Authority and the IDB. Accordingly, the Housing Authority have not been included in the reporting entity.

Joint Venture

The City is a participant in the Sumner County Resource Authority (the Resource Authority), a joint venture, in which it retains an ongoing financial interest. The Resource Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville, and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Resource Authority are available from the City Finance Director.

Government-wide and Fund Financial Statements

Government-wide Financial Statements

The government-wide financial statements (the statement of net position and the statement of activities) report information on all of the activities of the City. As a rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu-of-taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given program are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific program. Program revenues include: 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given program, and 2) operating or capital grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Taxes and other items not included among program revenues are reported instead as general revenues.

Note 1. **Summary of Significant Account Policies**

Government-wide and Fund Financial Statements

Government-wide Financial Statements

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Fund Financial Statements

The government uses funds to report on its financial position and the results of its operations. Fund accounting is designed to demonstrate legal compliance and to aid financial management by segregating transactions related to certain government functions or activities. A fund is a separate accounting entity with a self-balancing set of accounts.

The City has its funds classified into two categories: governmental and proprietary. Each category, in turn, is divided into separate "fund types."

Governmental funds are used to account for all or most of a government's general activities including the collection and disbursement of earmarked monies (special revenue funds) and the acquisition or construction of general fixed assets (capital projects funds). The General Fund is used to account for all activities of the general government not accounted for in some other fund.

Proprietary funds are used to account for activities similar to those found in the private sector, where the determination of net income is necessary or useful to sound financial administration. Goods or services from such activities can be provided either to outside parties (enterprise funds) or to other departments or agencies primarily within the government (internal service funds).

The City reports the following major governmental funds:

The General Fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The General Fund also includes the accounting for all solid waste revenues and expenditures.

The Capital Projects Fund focuses on project-to-date costs for many projects within the City. It accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays of governmental fund types including the acquisition and construction of capital facilities and other capital assets.

The City reports the following major proprietary funds:

The Gallatin Department of Electricity (Electric Department Fund) accounts for the activities of the government's electric distribution operations.

The Water and Sewer Department Fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations, and sewage collection system.

The Gas Department Fund accounts for the activities of the government's gas distribution operations.

Note 1. **Summary of Significant Account Policies**

Government-wide and Fund Financial Statements

Fund Financial Statements

Additionally, the City reports the following fiduciary fund:

The Electric Department's pension trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity Employees' Pension Plan.

Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are assessed. Grants and similar items are recognized as revenues as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers all revenues to be available in the period for which levied if they are collected within 60 days of the end of the current fiscal period. Those revenues susceptible to accrual are property taxes, franchise taxes, special assessments, licenses, interest income, and charges for services. Fines, permits, and parking meter revenues are not susceptible to accrual because, generally, they are not measurable until received in cash. Expenditures are recorded when the related fund liability is incurred. Principal and interest on long-term debt are recorded as fund liabilities when due or when amounts have been accumulated in the debt service fund for payments to be made early in the following year. Operating statements of these funds present increases (i.e., revenues and other financing sources) and decreases (i.e., expenditures and other financing uses) in net current assets.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. Operating expenses for the proprietary funds include the necessary costs to provide the services including the cost of personal and contractual services, supplies, and depreciation on capital assets. Charges for sales and services are reported net of discounts and allowances of $8,069. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

Cash and Cash Equivalents

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the US Treasury agencies and instrumentalities, obligations guaranteed by the US government or its agencies, repurchase agreements, and the state's investment pool.

Note 1. **Summary of Significant Account Policies**

Cash and Cash Equivalents

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool of shares.

Receivables and Payables

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and notices are mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1 the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment.

Inventories and Prepaid Items

Inventories of the Water and Sewer, and Gas Funds are valued at average cost. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General Fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

Restricted Assets

The City elects to use restricted assets before unrestricted assets when situations arise where either can be used.

The TCRS Stabilization Fund consists of amounts held in a pension stabilization trust by the Tennessee Consolidated Retirement System (TCRS) for the benefit of the City's TCRS Hybrid Plan. The purpose of this trust is to accumulate funds to provide stabilization (smoothing) of retirement costs to the City in times of fluctuating investment returns and market downturns. These funds are held and invested by TCRS pursuant to an irrevocable agreement and may only be used for the benefit of the City to fund retirement benefits upon approval of the TCRS Board of Directors. To date, the City has not withdrawn any funds from the trust to pay pension costs. Trust documents provide that the funds are not subject to the claims of general creditors of the City.

Note 1. **Summary of Significant Account Policies**

Capital Assets

Capital assets, including property, plant, and equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial individual cost of more than $75,000 for buildings and improvements other than buildings, and $25,000 for the remaining capital assets categories, and estimated useful life in excess of two years. Land, construction in progress, and works of art are included in the thresholds. The electric fund uses a capitalization threshold of $2,000; water and sewer, and gas funds use a threshold of $25,000; and all three funds use an estimated useful life in excess of two years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the assets or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Capital assets of the City are depreciated using the straight-line method using the following useful lives:

Buildings and improvements	25 – 50 years
Transmission and distribution systems	10 – 50 years
General plant	10 – 50 years
Machinery, equipment, and rolling stock	3 – 10 years
Office furniture and equipment	3 – 10 years
Improvements other than buildings	50 years

Leased assets include copier rentals. Amortization is provided over the lives of the leases, which are three years.

Total depreciation expense for proprietary funds amounted to $8,371,558 for the year ended June 30, 2023. Some of this depreciation was charged to expense accounts other than the depreciation accounts in the Electric Fund. Depreciation accounted for in this manner results in a difference between depreciation reported in the accompanying statement of revenues, expenses, and changes in net position and the amount reported in the footnotes. A reconciliation of this difference is provided below:

	Total Proprietary funds
Depreciation and amortization expense reported in note 6	$ 8,555,698
Provision for depreciation on statement of revenues, expenses, and changes in net position	(8,371,558)
Difference (depreciation charged to other operating expense accounts)	**$ 184,140**

Note 1. **Summary of Significant Account Policies**

Compensated Absences
Vacation leave is accumulated by classified full-time employees according to the following schedule:

Years of Service	Annual Vacation Leave
0 – 4 years	10 days
5 – 9 years	16 days
10 – 14 years	17 days
15 – 18 years	19 days
19 or more years	21 days

Vacation leave for designated Department heads/Assistant DH, the City Attorney, the Executive Director of Economic Development, Mayor, and City Recorder shall be sixteen (16) business days each year for the first four (4) years of service, and thereafter increasing to twenty-one (21) business days.

Sick leave is accumulated at the rate of one day per month. At retirement, an employee will be paid accumulated sick leave ranging from 20% - 50%, based on either their age or years of service on effective date of retirement.

Long-term Obligations
In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financial sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Deferred Outflows/Inflows of Resources
In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. The separate financial statement element “deferred outflows of resources” represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element “deferred inflows of resources” represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

The City reports unavailable property taxes, unavailable court fines revenues, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred inflow of resources in the statement of net position as well.

Note 1. **Summary of Significant Account Policies**

Regulatory Accounting

The City's proprietary fund follows the principles of proprietary fund accounting in accordance with Government Accounting Standards Board (GASB) pronouncements. Proprietary fund accounting is used to report business-type activities, as contrasted with tax-supported governmental activities.

The City's proprietary fund also complies with policies and practices prescribed by the City's governing body and with practices common in the utility industry. As the City's governing body has the authority to set rates, the City's proprietary fund follows the regulatory accounting guidance of GASB Statement No. 62, *Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements*, which provides for the reporting of assets and liabilities consistent with the economic effect of the rate structure. Regulatory assets are recorded to reflect probable future revenues associated with certain costs that are expected to be recovered from customers through the rate-making process. Regulatory liabilities are recorded to reflect probable future reduction in revenues associated with amounts that are expected to be credited to customers in the rate-making process.

Fund Balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable Fund Balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally, or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers. This classification also includes amounts that cannot be spent because they are not in spendable form (such as inventory or prepaid items).

Restricted Fund Balance

This classification includes amounts that are: (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

Committed Fund Balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Note 1. **Summary of Significant Account Policies**

Fund Balance

Assigned Fund Balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the General Fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. The Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used as the source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned Fund Balance

This fund balance is the residual classification for the General Fund. It is also used to report negative fund balances in other governmental funds.

The City will maintain a minimum unassigned fund balance in the General Fund equivalent to 25% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that result in the minimum unassigned general fund balance to drop below 25%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, increasing revenues, or pursuing other fund sources, or a combination of the two.

Fund Balance Flow Assumptions

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Net Position

Restricted net position is net position less related liabilities reported in the government-wide statement of net position that have limitations imposed on their use through constitutional provisions, enabling legislation or external restrictions imposed by creditors, grantors, contributors, legislation, or other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

Net investment in capital assets consists of capital assets, net of accumulated depreciation, and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

Note 1. **Summary of Significant Account Policies**

Net Position Flow Assumption
Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Use of Estimates
The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Leases
The City determines if an arrangement is or contains a lease at contract inception and recognizes an intangible right of use asset and a lease liability at the lease commencement date. Subsequently, the intangible right of use asset is amortized on a straight-line basis over its useful life. The City also enters into agreements, as lessor, to lease office space or property, recognizing a lease receivable and a deferred inflow of resources. The lease term includes the noncancelable period of the lease plus an additional period covered by either an option to extend or not to terminate the lease that the lessee is reasonably certain to exercise, or an option to extend or not to terminate the lease controlled by the lessor. The City uses its estimated incremental borrowing rate as the discount rate for leases.

The City monitors for events or changes in circumstances that require a reassessment of its leases. When a reassessment results in the remeasurement of a lease liability, a corresponding adjustment is made to the carrying amount of the intangible right of use asset.

Pensions
City Funds
For purposes of measuring the net pension liability (asset), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of the TCRS. Investments are reported at fair value.

Gallatin Department of Electricity
The net pension liability (asset) for the department was measured as of June 30, 2022 pursuant to GASB 68, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net pension liability (asset) and pension expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net pension liability (asset) and pension expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. The net pension liability (asset) reported at June 30, 2023 is the net pension liability (asset) determined at June 30, 2022 and the pension expense reflects the activity for fiscal year 2022.

Note 1. **Summary of Significant Account Policies**

Other Post-employment Benefit (OPEB) Plan

Gallatin Department of Electricity

The net OPEB (Other Post-employment Benefit) liability for the department was measured as of June 30, 2022 pursuant to GASB 75, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net OPEB liability and OPEB expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net OPEB liability and OPEB expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net OPEB liability reported at June 30, 2023 is the net OPEB liability determined at June 30, 2022 and the OPEB expense reflects the activity for fiscal year 2022.

Reclassifications

Certain reclassifications have been made in the 2022 financial statements to make them comparable to the 2023 financial statement presentation.

Note 2. **Reconciliation of Government-wide and Fund Financial Statements**

Explanation of Certain Differences Between the Balance Sheet of Governmental Funds and the Government-wide Statement of Net Position

The governmental fund balance sheet includes a reconciliation between fund balance – total governmental funds and net position – governmental activities as reported in the government-wide statement of net position. One element of the reconciliation explains that "receivables are not available to pay for current expenditures and, therefore, are deferred in the funds." The details of the difference are as follows:

Unavailable property taxes	$	611,414
Unavailable court fines		7,521
Net adjustments	**$**	**618,935**

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances – total government funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that "governmental funds report capital outlays as expenditures; however, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period." The details of the difference are as follows:

Capital outlay	$	13,075,819
Depreciation expense		(5,247,348)
Net adjustment	**$**	**7,828,471**

Note 3. **Stewardship, Compliance, and Accountability**

Budgetary Information

Annual budgets are adopted on a basis consistent with GAAP for the General Fund and special revenue funds, excluding the Capital Projects fund. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year-end, the Director of Finance and the Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public meetings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the Electric fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year-end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

Note 4. **Deposits and Investments**

General Information

As of June 30, 2023, the City of Gallatin, Tennessee's Electric Department had $5,328,776 and the General Fund had $9,505,150 in certificates of deposit with local financial institutions.

As of June 30, 2023, the cemetery trust fund had $21,025 in unrated stock investments with no maturities. These investments are reported at fair value and are categorized for fair value measurement within the fair value hierarchy established by GAAP. The hierarchy is based on the valuation inputs used to measure the fair value of the asset and give the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

Level 1 - Unadjusted quoted prices for identical assets or liabilities in active markets that can be accessed at the measurement date.

Level 2 - Quoted prices for similar assets or liabilities in active markets; quoted prices for identical or similar assets or liabilities in markets that are not active; assets or liabilities that have a bid-ask spread price in an inactive dealer market, brokered market, or principal-to-principal market; and Level 1 assets or liabilities that are adjusted.

Level 3 - Valuations derived from valuation techniques in which significant inputs are unobservable.

The investments of the cemetery trust fund have been classified as Level 1.

Note 4. **Deposits and Investments**

General Information

Deposits and Investments

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

Custodial Credit Risk

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in note 1. State statutes require that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes, or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities, and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2023, all bank deposits were fully collateralized or insured.

TCRS Stabilization Trust, City Funds

Legal Provisions

The City is a member of the TCRS Stabilization Reserve Trust (the Trust). The City has placed funds into the irrevocable trust as authorized by statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the trust. Funds of trust members are held by and invested in the name of the trust for the benefit of each member. Each member's funds are restricted for the payment of retirement benefits of that member's employees. Trust funds are not subject to the claims of general creditors of the City.

The trust is authorized to make investments as directed by the TCRS Board of Trustees. The City may not impose any restrictions on investments placed by the trust on its behalf. It is the intent of the plan trustees to allocate these funds in the future to offset pension costs.

Investment Balances

Assets of the TCRS, including the Stabilization Reserve Trust, are invested in the Tennessee Retiree Group Trust (TRGT). The TRGT is not registered with the Securities and Exchange Commission (SEC) as an investment company. The State of Tennessee has not obtained a credit quality rating for the TRGT from a nationally recognized credit rating agency. The fair value of investment positions in the TRGT is determined daily, based on the fair value of the pool's underlying portfolio. Furthermore, TCRS had not obtained or provided any legally binding guarantees to support the value of participant shares during the fiscal year. There are no restrictions on the sale or redemption of shares.

Note 4. **Deposits and Investments**

TCRS Stabilization Trust, City Funds

Investment Balances

Investments are reported at fair value. Securities traded on a national exchange are valued at the last reported sales price. Investment income consists of realized and unrealized appreciation (depreciation) in the fair value of investments and interest and dividend income. Interest income is recognized when earned. Securities and securities transactions are recorded in the financial statements on a trade-date basis. The fair value of assets of the TRGT held at June 30, 2023 represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. Assets held are categorized for fair value measurement within the fair value hierarchy established by GAAP as described above.

Investments using the Net Asset Value (NAV) per share have no readily determinable fair value and have been determined using amortized cost, which approximates fair value.

Where inputs used in the measurement of fair value fall into different levels of the hierarchy, fair value of the instrument in its entirety is categorized based on the lowest level input that is significant to the valuation. This assessment requires professional judgment and, as such, management of the TRGT has developed a fair value committee that worked in conjunction with the plan's custodian and investment professionals to make these valuations. All assets held were valued individually and aggregated into classes to be represented in the following tables.

Short-term securities generally include investments in money market-type securities, reported at cost plus accrued interest.

Equity and equity derivative securities classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Equity and equity derivative securities classified in Level 2 are securities whose values are derived daily from associated traded securities. Equity securities classified in Level 3 are valued with the last trade data, having limited trading volume.

US Treasury bills, bonds, notes, and futures classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Debt and debt derivative securities classified in Level 2 are valued using a bid-ask spread price from multiple independent brokers, dealers, or market principals, which are known to be actively involved in the market. Level 3 debt securities are valued using proprietary information, a single pricing source, or other unobservable inputs related to similar assets or liabilities.

Real estate investments classified in Level 3 are valued using the last valuations provided by external investment advisors or independent external appraisers. Generally, all direct real estate investments are appraised by a qualified independent appraiser(s) with the professional designation of Member of the Appraisal Institute (MAI), or its equivalent, every three years beginning from the acquisition date of the property. The appraisals are performed using generally accepted valuation approaches applicable to the property type.

For investments in private mutual funds, traditional private equity funds, strategic lending funds, and real estate funds that report using GAAP, the fair values, as well as the unfunded commitments, were determined using the prior quarter's NAV, as reported by the fund managers, plus the current cash flows. These assets were then categorized by investment strategy. In instances where the fund investment reported using non-GAAP standards, the investment was valued using the same method, but was classified in Level 3.

Note 4. **Deposits and Investments**

TCRS Stabilization Trust, City Funds

Investment Balances

At June 30, 2023, the City had the following investments held by the Trust on its behalf. These funds are recognized as restricted assets in the General Fund, Other Governmental Funds, the Water and Sewer Fund, and the Gas Fund of the City.

	Weighted average days to maturity	Maturities	Fair value
Investments at fair value			
US equity	N/A	N/A	$ 415,758
Developed market international equity	N/A	N/A	187,762
Emerging market international equity	N/A	N/A	53,644
US fixed income	N/A	N/A	268,231
Real estate	N/A	N/A	134,115
Short-term securities	N/A	N/A	13,416
NAV, private equity, and strategic lending	N/A	N/A	268,231
			$ 1,341,157

A summary of investment values by fair value level at June 30, 2023 is as follows:

	Fair Value June 30, 2023	Level 1	Level 2	Level 3	NAV
US equity	$ 415,758	$ 415,758	$ -	$ -	$ -
Developed market international equity	187,762	187,762	-	-	-
Emerging market international equity	53,644	53,644	-	-	-
US fixed income	268,231	-	268,231	-	-
Real estate	134,115	-	-	134,115	-
Short-term securities	13,416	-	13,416	-	-
NAV, private equity, and strategic lending	268,231	-	-	-	268,231
	$1,341,157	**$ 657,164**	**$ 281,647**	**$ 134,115**	**$ 268,231**

Note 4. **Deposits and Investments**

TCRS Stabilization Trust, City Funds

Risks and Uncertainties

The Trust's investments include various types of investment funds, which in turn invest in any combination of stock, bonds, and other investments exposed to various risks, such as interest rate, credit, and market risk. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported for Trust investments.

Interest Rate Risk

Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. The City does not have the ability to limit trust investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk

Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The City does not have the ability to limit the credit ratings of individual investments made by the Trust.

Concentration of Credit Risk

Concentration of credit risk is the risk of loss attributed to the magnitude of the City's investment in a single issuer. The City places no limit on the amount that may be invested in one issuer.

Custodial Credit Risk

Custodial credit risk for investments is the risk that, in the event of a failure of the counterparty to a transaction, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. Pursuant to the Trust agreement, investments are held in the name of the Trust for the benefit of the City to pay retirement benefits of its employees.

For further information concerning the legal provisions, investment policies, investment types, and credit risks of the City's investments with the TCRS Stabilization Reserve Trust, audited financial statements of the TCRS may be obtained at https://comptroller.tn.gov/content/dam/cot/sa/advanced-search/disclaimer/2022/ag21066.pdf

Electric Department Pension Investments

Information regarding investments of the Gallatin Department of Electricity Employee's Pension Plan may be obtained from a separate financial report. The report may be obtained by contacting the City's Finance Director.

Note 5. **Receivables**

Receivables as of the year-end for the government's individual major funds and non-major and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

	General Fund	Electric Fund	Water and Sewer Fund	Gas Fund	Non-major and other Funds	Total
Receivables						
Property taxes	$ 14,919,791	$ -	$ -	$ -	$ -	$14,919,791
Interest	333,946	-	-	-	-	333,946
Accounts	566,803	7,163,136	1,788,800	1,388,876	542,799	11,450,414
Fines	2,239,124	-	-	-	-	2,239,124
Grants	841,155	-	-	-	-	841,155
Intergovernmental	4,131,475	-	-	-	-	4,131,475
Other	-	106,341	-	-	-	106,341
Less allowance for doubtful accounts	(2,507,917)	-	(40,449)	(184,591)	(18,614)	($2,751,571)
Receivables, net	**$ 20,524,377**	**$ 7,163,136**	**$ 1,748,351**	**$ 1,204,285**	**$ 524,185**	**$ 31,270,675**

Governmental funds report unavailable revenues in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenues). At the end of the current fiscal year, various components of unavailable revenues reported in the governmental funds were as follows:

	Unavailable	Unearned
Interest and penalty on property taxes receivable	$ 300,551	$ -
2023 property tax assessment	14,679,193	-
Other revenues collected in advance	-	77,520
Drug fund revenues held	-	65,006
Court fines	7,521	-
Total unavailable revenues for fund financial statements	**$ 14,987,265**	**$ 142,526**

Note 6. **Capital Assets**

Capital assets activity for the year ended June 30, 2023 was as follows:

	Balance June 30, 2022	Additions	Disposals	Transfers	Balance June 30, 2023
Governmental activities					
Capital assets not being depreciated					
Land	$ 13,409,022	$ 57,940	$ -	$ -	$ 13,466,962
Construction in progress	21,711	292,216	-	-	313,927
Total capital assets not being depreciated	13,430,733	350,156	-	-	13,780,889
Capital assets being depreciated					
Buildings	24,257,729	1,206,522	-	-	25,464,251
Improvements other than buildings	150,912,098	9,729,531	-	-	160,641,629
Vehicles	17,705,161	4,628,347	(70,474)	-	22,263,034
Office equipment	2,858,993	98,352	-	-	2,957,345
Equipment	9,463,085	1,610,781	-	-	11,073,866
Total capital assets being depreciated	205,197,066	17,273,533	(70,474)	-	222,400,125
Accumulated depreciation					
Buildings	9,894,199	565,902	-	-	10,460,101
Improvements other than buildings	22,132,485	2,451,136	-	-	24,583,621
Vehicles	16,067,384	1,585,213	(70,474)	-	17,582,123
Office equipment	2,697,978	76,467	-	-	2,774,445
Equipment	5,225,618	568,630	-	-	5,794,248
Total accumulated depreciation	56,017,664	5,247,348	(70,474)	-	61,194,538
Total capital assets being depreciated, net	149,179,402	12,026,185	-	-	161,205,587
Total governmental capital assets, net	**$162,610,135**	**$ 12,376,341**	**$ -**	**$ -**	**$174,986,476**

Note 6. **Capital Assets**

	Balance June 30, 2022	Additions	Disposals	Transfers	Balance June 30, 2023
Business-type activities					
Capital assets not being depreciated					
Land	$ 4,284,181	$ 569,237	$ -	$ -	4,853,418
Construction in progress	(435,965)	3,652,235	-	(2,098,469)	1,117,801
Total capital assets not being depreciated	3,848,216	4,221,472	-	(2,098,469)	5,971,219
Capital assets being depreciated					
Transmission plant	1,437,843	-	-	-	1,437,843
Distribution plant	282,983,121	11,826,281	(163,401)	2,098,469	296,744,470
General plant	5,555,475	1,079,613	-	-	6,635,088
Buildings	43,109,224	1,013,706	-	-	44,122,930
Operating equipment	3,242,993	-	-	-	3,242,993
Rolling stock	4,248,550	-	-	-	4,248,550
Office furniture and equipment	705,929	-	-	-	705,929
Total capital assets being depreciated	341,283,135	13,919,600	(163,401)	2,098,469	357,137,803
Accumulated depreciation					
Transmission plant	424,524	44,704	-	-	469,228
Distribution plant	105,288,001	7,366,285	(285,638)	-	112,368,648
General plant	3,272,384	350,242	-	-	3,622,626
Buildings	17,737,269	1,024,921	-	-	18,762,190
Operating equipment	2,448,356	262,338	-	-	2,710,694
Rolling stock	3,756,381	81,721	-	-	3,838,102
Office furniture and equipment	673,466	10,620	-	-	684,086
Total accumulated depreciation	133,600,381	9,140,831	(285,638)	-	142,455,574
Total capital assets being depreciated net	207,682,754	4,778,769	122,237	2,098,469	214,682,229
Total business-type capital assets, net	**$211,530,970**	**$ 9,000,241**	**$ 122,237**	**$ -**	**$220,653,448**

Note 6. **Capital Assets**

Included in the additions for the governmental activities is $9,040,398 in donated infrastructure from developers. Included in the additions for the business-type activities is $1,531,140 in donated utility lines from developers.

For the year ended June 30, 2023, increases to accumulated depreciation totaled $14,388,179. This amount includes depreciation and amortization of $14,388,179, and an increase of $581,786 for salvage value of depreciable utility plant. Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities		
General government	$	2,178,157
Public safety		1,386,123
Environmental services		202,648
Stormwater		156,218
Highways and streets		428,233
Parks and recreation		895,969
Total depreciation expense, governmental activities	**$**	**5,247,348**
Business-type Activities		
Electric (see note 1)	$	2,427,122
Water and sewer		4,783,198
Gas		1,345,378
Total depreciation expense		8,555,698
Amortization of right-to-use assets		3,347
Total depreciation and amortization expenses business-type activities	**$**	**8,559,045**

Gallatin Department of Electricity
Construction Work in Progress:
The policy for the department has been to collect as Aid-to-Construction a portion of the costs to be incurred during the new construction process. Due to the volume of requests for new construction, the length of time to acquire the necessary materials once ordered, and the labor/time required to complete the projects, the Department had a negative balance in construction work in progress at June 30, 2022, due to advance payments being credited to the work order process upon receipt. The Department follows this method of accounting for Construction Work in Progress based on FERC guidance as well as from the Electric Department's regulator, the Tennessee Valley Authority (TVA).

For the Electric department, right to use tangible lease activity for the year ended June 30, 2023 is as follows:

	July 1, 2022	Additions	Reductions	June 30, 2023
Leased equipment	$ 20,468	$ -	$ -	$ 20,468
Less: accumulated amortization	15,978	3,347	-	19,325
	$ 4,490	**$ (3,347)**	**$ -**	**$ 1,143**

Amortization expense for the year was charged to the business-type function in the amount of $3,347.

Note 7. **Long-term Debt**

Governmental activities debt at June 30, 2023 is comprised of the following:

General Obligation Improvement Bonds, Series 2014, due in annual installments from $375,000 to $1,090,000, through January 2034, interest at 2.00% to 5.00%	$ 7,575,000
General Obligation Improvement Bonds, Series 2016, due in annual installments from $430,000 to $700,000, through January 2036, interest at 2.00% to 5.00%	7,710,000
General Obligation Improvement Bonds, Series 2021, due in annual installments from $325,000 to $630,000, through January 2041, interest at 2.00% to 5.00%	9,070,000
Total bonds payable	**$ 24,355,000**

The aforementioned bonds are secured by the full faith and credit of the City. During 2023, debt service for the aforementioned debt was provided by the City's General Fund.

Business-type activities debt at June 30, 2023 is comprised of the following:

Water and Sewer Revenue Bonds, Series 2015, due in annual installments from $500,000 to $1,825,000, through July 2040, interest at 3.00% to 5.00%	$ 4,500,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from $265,000 to $570,000, through July 2029, interest at 2.00% to 5.00%	2,405,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from $25,000 to $635,000, through July 2032, interest at 2.00% to 3.625%	5,475,000
Gas Revenue Bonds, Series 2019, due in annual installments from $190,000 to $380,000, through January 2039, interest at 3.00% to 5.00%	4,730,000
Water and Sewer Revenue Improvement Bonds, Series 2021A, due in annual installments from $325,000 to $775,000, through July 2046, interest at 3.00% to 4.00%	13,075,000
Water and Sewer Revenue Refunding Bonds, Series 2021B, due in annual installments from $125,000 to $1,840,000, through July 2038, interest at 0.51% to 2.75%	13,745,000
Total bonds payable	**$ 43,930,000**

Note 7. **Long-term Debt**

The aforementioned bonds are secured by revenue streams of the Gas and Water and Sewer funds. During 2023, debt service for the aforementioned debt was provided solely by the City's Proprietary Funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding at June 30, 2023 are as follows:

Year Ended June 30,	Governmental Activities General Obligation Bonds Principal	Interest	Business-type Activities Revenue Bonds Principal	Interest	Totals Principal	Interest
2024	$ 1,835,000	$ 846,600	$ 2,810,000	$ 1,304,311	$ 4,645,000	$ 2,150,911
2025	1,895,000	754,850	2,925,000	1,201,666	4,820,000	1,956,516
2026	1,965,000	670,200	3,010,000	1,096,530	4,975,000	1,766,730
2027	2,035,000	582,450	3,125,000	982,418	5,160,000	1,564,868
2028	1,430,000	507,900	3,215,000	901,639	4,645,000	1,409,539
2029 – 2033	7,920,000	1,667,269	16,250,000	3,177,044	24,170,000	4,844,313
2034 – 2038	5,425,000	499,013	5,405,000	1,582,048	10,830,000	2,081,061
2039 – 2043	1,850,000	74,500	4,220,000	739,387	6,070,000	813,887
2044 – 2047	-	-	2,970,000	181,500	2,970,000	181,500
	$24,355,000	**$ 5,602,782**	**$43,930,000**	**$11,166,453**	**$68,285,000**	**$16,769,325**

The City complied with all significant debt covenants and restrictions as set forth in the bond agreements. The above bonds and notes payable contain provisions that in the event of default, the lenders can exercise one or more of the following options:

1) make the outstanding bond and/or note payable with accrued interest due and payable,
2) use remedies allowed by state or federal law.

Governmental Activities
Long-term liability activity for the year ended June 30, 2023 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
General obligation bonds	$26,135,000	$ -	$ (1,780,000)	$24,355,000	$ 1,835,000
Premium on bond issue	2,078,000	-	(277,666)	1,800,959	258,501
Total long-term debt	**$ 28,213,000**	**$ -**	**$ (2,057,666)**	**$ 26,155,959**	**$ 2,093,501**

Note 7. **Long-term Debt**

Governmental Activities

Other long-term obligations activity for the year ended June 30, 2023 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
Compensated absences	$ 1,885,189	$ 1,712,715	$ (1,406,662)	$ 2,191,242	$ 1,712,715
Net pension liability	-	194,396	-	194,396	-
Total other long-term obligations	**$ 1,885,189**	**$ 1,907,111**	**$ (1,406,662)**	**$ 2,385,638**	**$ 1,712,715**

Business-type Activities

Long-term liability activity for the year ended June 30, 2023 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
Revenue and tax bonds	$46,620,000	$ -	$ (2,690,000)	$43,930,000	$ 2,810,000
Premium on bond issue	3,977,028	-	(438,394)	3,538,635	386,339
TVA Winterization Contracts	6,074	-	(4,495)	1,579	864
Lease liability	5,009	-	(3,710)	1,299	1,299
Total long-term debt	**$50,608,111**	$ -	**$ (3,136,599)**	**$ 47,471,513**	**$ 3,198,502**

Other long-term obligations activity for the year ended June 30, 2023 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
Compensated absences	$ 894,168	$ 659,388	$ (472,561)	$ 1,080,995	$ 690,768
Net pension liability	-	553,494	-	553,494	-
OPEB liability	630,245	-	(103,255)	526,990	-
Total other long-term obligations	**$ 1,524,413**	**$ 1,212,882**	**$ (575,816)**	**$ 2,161,479**	**$ 690,768**

Within the City's governmental activities, compensated absences are generally liquidated by the General Fund. The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

Note 7. **Long-term Debt**

Business-type Activities

The water and sewer department and gas department funds issue revenue bonds, which are collateralized by the revenues of the respective departments. The bonds payable for all systems contain provisions that, in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

Issuance of Long-term Debt

In November 2021, the City issued $13,400,000 in Water and Sewer Revenue Improvement Bonds, Series 2021A (Series 2021A Bonds) for the purpose of providing funds to (i) finance extensions and improvements to the System and (ii) pay costs of issuance. The Series 2021A bonds are issued as fully registered bonds, in denominations of $5,000, and are payable solely from and secured by a lien on the revenues of the City's water and sewer system (the System), after payment of operating expenses, on a parity of lien with the City's outstanding Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014 and Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015 and any obligations hereafter issued on parity therewith. The Series 2021A bonds carry fixed interest rates ranging from 3.0% to 4.0% and mature between July 1, 2022 and July 1, 2046. Interest is payable semi-annually on July 1 and January 1. Series 2021A bonds maturing on July 1, 2032, and thereafter, are subject to redemption prior to maturity at the option of the City, on or after July 1, 2031, as a whole or in part, at a redemption price equal to 100% of the principal amount plus accrued interest to the redemption date.

In November 2021, the City issued $13,965,000 in Water and Sewer Revenue Refunding Bonds, Series 2021B (Series 2021B) to refund $12,435,000 of its outstanding Water and Sewer System Revenue and Improvement Bonds, Series 2015, dated May 19, 2015, (the Outstanding Bonds). The Outstanding Bonds were called for redemption in November 2021, and were redeemed at a redemption price of par plus accrued interest. The estimated economic gain from the refunding was approximately $1.2 million.

The Series 2021B bonds are issued as fully registered bonds, in denominations of $5,000, and are payable solely from and secured by a lien on the revenues of the System, after payment of operating expenses, on a parity of lien with the City's outstanding Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014 and Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015 and any obligations hereafter issued on parity therewith. The Series 2021B bonds carry fixed interest rates ranging from 0.51% to 2.75% and mature between July 1, 2022 and July 1, 2037. Interest is payable semi-annually on July 1 and January 1. Series 2021B bonds maturing on July 1, 2032 and thereafter are subject to redemption prior to maturity at the option of the City, on or after July 1, 2031, as a whole or in part, at a redemption price equal to 100% of the principal amount plus accrued interest to the redemption date.

Note 7. **Long-term Debt**

Advance Refunding of Bonds

In prior years, the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirements on the retired bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2023, outstanding bonds considered as defeased were as follows:

General Obligation Public Improvements Bonds – Series 2007	$	2,510,000
Water and Sewer Revenue and Tax Bonds – Series 2008		14,835,000
	$	**17,345,000**

Note 8. **Lease Liabilities**

The Electric Department entered into a 61-month lease agreement in March 2018 for 3 copy machines. The Electric Department entered into a 60-month lease agreement in June of 2019 for a large engineering printer. At the time of the initial agreements, there was no interest rate specified in the lease agreement, nor were there any values assigned to the equipment. The Department used a borrowing rate of 2.2672%, which was available during the year of implementation through the issuance of a bond, to calculate the present value to place on the equipment, and to establish the lease liability.

The amount of payments made during the year applied to the lease liabilities totaled $3,710.

Principal and interest requirements on these leases are as follows:

Year ending June 30,		**Principal**		**Interest**		**Total**
2024	$	1,299	$	16	$	1,315

Note 9. **Interfund Balances and Transfers**

There were no interfund balances at June 30, 2023. The following is a summary of transfers during the year ended June 30, 2023:

Transfers from	**Transfers to**		**Amount**
Electric fund	General fund	$	1,043,191
Water and sewer fund	General fund		362,330
Gas fund	General fund		418,942
			1,824,463
	Less: governmental fund activities eliminated	(	$1,824,463)
	Total government-wide transfers	**$**	**-**

The transfers between the proprietary funds and the general fund are for the purpose of transferring in-lieu-of-tax payments.

Note 10. **Pension Plans – City Funds**

General Information about the Pension Plan

Plan Description

Employees of the City are provided a defined benefit hybrid pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies.

Benefits Provided

Tennessee Code Annotated, Title 8, Chapters 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 65 with 5 years of service credit or pursuant to the rule of 90 in which the member's age and service credit total 90. Benefits are determined by a formula using the member's highest five consecutive years average compensation and the member's service credit. Reduced benefits for early retirement are available at age 60 and vested or pursuant to the rule of 80 in which the member's age and service credit total 80. Members vest with five years of years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service-related and nonservice-related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10% and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3%, and applied to the current benefit. No COLA is granted if the change in the CPI is less than 0.5%. A 1% percent COLA is granted if the CPI change is between 0.5% and 1%. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest. Moreover, there are defined cost controls and unfunded liability controls that provide for the adjustment of benefit terms and conditions on an automatic basis.

Note 10. **Pension Plans – City Funds**

General Information about the Pension Plan

Employees Covered by Benefit Terms

At the measurement date of June 30, 2022, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	-
Inactive employees entitled to but not yet receiving benefits	119
Active employees	262
	381

Contributions

Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5% of salary. The City makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2023, the employer contributions by the City were $374,974, based on a rate of 4% of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept the City's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Pension Liabilities (Assets)

The City's net pension liability (asset) was measured as of June 30, 2022, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The total pension liability as of the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.25%
Salary increases	Graded salary ranges from 8.72% to 3.44% based on age, including inflation, averaging 4.00%
Investment rate of return	6.75%, net of pension plan investment expenses, including inflation
Cost-of-living adjustment	2.125%,

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2022 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

Note 10. **Pension Plans – City Funds**

Net Pension Liability (Asset)

Actuarial Assumptions

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.25%. The best estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

Asset class	Long-term expected real rate of return	Target allocation
US equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
US fixed income	1.20%	20%
Real estate	4.38%	10%
Short-term securities	0.00%	1%
		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75% based on a blending of the factors described above.

Discount Rate

The discount rate used to measure the total pension liability was 6.75%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from the City will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 10. **Pension Plans – City Funds**

Changes in the Net Pension Liability (Asset)

	Total pension liability (a)	Plan fiduciary net position (b)	Net pension liability (asset) (a)-(b)
Balance, June 30, 2021	$ 2,140,677	$ 2,239,470	$ (98,793)
Service cost	778,219	-	778,219
Interest	195,733	-	195,733
Changes of benefit terms	-	-	-
Differences between expected and actual experience	136,142	-	136,142
Changes in assumptions	-	-	-
Contributions, employer	-	247,676	(247,676)
Contributions, employees	-	648,370	(648,370)
Net investment income	-	(101,596)	101,596
Benefit payments, including refunds of employee contributions	(38,297)	(38,297)	-
Administrative expenses	-	(25,361)	25,361
Other changes	-	-	-
Net change	1,071,797	730,792	341,005
Balance, June 30, 2022	**$ 3,212,474**	**$ 2,970,262**	**$ 242,212**

Sensitivity of the Net Pension Liability (Asset) to Changes in the Discount Rate
The following presents the net pension liability (asset) of the City calculated using the discount rate of 6.75%, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75%) or 1-percentage-point higher (7.75%) than the current rate:

	1% Decrease (5.75%)	Current rate (6.75%)	1% Increase (7.75%)
Net pension liability (asset)	$ 1,027,978	$ 242,212	$ (357,152)

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense (Negative Pension Expense)
For the year ended June 30, 2023, the City recognized pension expense (negative pension expense) of $211,913.

Note 10. **Pension Plans – City Funds**

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of resources	Deferred inflows of resources
Difference between expected and actual experience	$ 240,660	$ 42,864
Net difference between expected and actual earnings on pension plan investments	65,265	-
Changes in assumptions	138,752	-
Contributions made subsequent to measurement date of June 30, 2023	374,974	-
	$ 819,651	**$ 42,864**

The amount shown above for "Contributions subsequent to the measurement date of June 30, 2023" will be recognized as a reduction (increase) to net pension liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ending June 30,	
2024	$ 40,227
2025	40,309
2026	36,804
2027	92,252
2028	36,081
Thereafter	156,137

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

Payable to the Pension Plan

At June 30, 2023, City of Gallatin reported a payable of $164,861 for the outstanding amount of contributions to the pension plan required at the year ended June 30, 2023.

Defined Contribution Plans

The City has two defined contribution plans. One is the State of Tennessee Deferred Compensation Plan II – 401(k) (the Hybrid Plan) which was adopted by the City in 2018. The other plan is the State of Tennessee 401(k) plan (the former plan), which was in existence prior to 2018. When the City joined the Hybrid Plan, existing employees were given the option to stay on the former plan or move to the Hybrid plan.

Note 10. **Pension Plans – City Funds**

Defined Contribution Plans

Several employees chose to stay on the former plan. The City has determined that none of its defined contribution pension plans are fiduciary component units or fiduciary activities of the government.

State of Tennessee 401(k) Plan

Plan Description

The City (exclusive of the electric utility) participates in the State of Tennessee 401(k) plan (the Plan) with a Roth option. Employees of the City's Municipal Service departments, Water and Sewer Utility Fund, and Natural Gas Utility Fund are eligible to participate in the Plan. The Plan assets are not held by the City and the City does not exercise a trustee responsibility over such assets nor does the City actively participate in the Plan's management or administration, which is delegated to the City of Gallatin Pension Committee. The Pension Committee has designated Retire Ready TN as a third-party administrator. Accordingly, the City does not meet the criteria necessary for presentation of the Plan as a fiduciary fund of the City.

Funding Policy

The City's Plan allows employees to make tax deferred contributions into self-directed investments of as much as allowable under the Internal Revenue Code. During the fiscal year, the City contributed 5% of the employees' annual compensation and matched up to an additional 4% of the employees' contributions. The plan is closed to new entrants. The vesting of employer contributions increases from 20% in year one, with 20% annual increases until contributions are 100% vested after 5 years in the plan. If an employee leaves employment before the vesting period is complete, the forfeiture is put into a forfeiture account that can be used to pay expenses related to the plan. The City had no forfeitures in 2023. At calendar year-end, any unused forfeitures are held and can be used to offset future employer match requirements.

Annual Contributions

The City's maximum contribution to the Plan is defined as up to 9% of an eligible employee's annual compensation. The City contributed $890,632 on behalf of the employees for the fiscal year ended June 30, 2023.

State of Tennessee Deferred Compensation Plan II – 401(k)

Plan Description

The Hybrid Plan is a combination of the defined benefit plan (Public Employment Retirement Plan described in General Information about the Pension Plan above) and a defined contribution plan (a 401(k) plan). Employees of the City hired after October 1, 2018 working more than 30 hours per week, and any existing City employee working more than 30 hours per week who chooses to join the TCRS Hybrid Plan are eligible for the plan. The Chair of the TCRS may amend the Hybrid Plan on behalf of all employers. The Chair also has the sole and exclusive authority to interpret the Hybrid Plan and decide all claims and appeals for the Hybrid Plan benefits.

Note 10. **Pension Plans – City Funds**

State of Tennessee Deferred Compensation Plan II – 401(k)

Funding Policy

Employers contribute 4% of payroll to the defined benefit component (as noted in General Information about the Pension Plan above), and 5% of payroll to the defined contribution component, for an aggregate employer contribution of 9%. Employees may elect to defer a percentage of their salary into the plan. Defined contribution plan amounts are deposited into the State's 401(k) plan with Great West Financial, where the employee manages the investments. Employees immediately vest in both the employee and employer contributions to the defined contribution plan.

Annual Contributions

The City contributed $776,984 on behalf of the employees for the fiscal year ended June 30, 2023.

Note 11. **Pension Plan – Gallatin Department of Electricity**

General Information about the Pension Plan

Plan Description

The Gallatin Department of Electricity Employee's Pension Plan (the Electric Plan) is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective March 1, 2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

For pension benefits, employees with 20 or more years of credited service are entitled to monthly pension benefits upon attainment of early retirement at age 55. The plan's normal retirement age is 65.

Inactive employees or beneficiaries currently receiving benefits	21
Inactive employees entitled to but not yet receiving benefits	3
Active employees	19
	43

Contribution Requirements

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The rate used in FY 2023 was 10.01% of annual covered payroll. The Department contributed $600,000 for the year ended June 30, 2023.

Note 11. **Pension Plan – Gallatin Department of Electricity**

Net Pension Liability

The Electric Department's net pension liability was measured as of June 30, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2021.

Actuarial Assumptions

The total pension liability as of the June 30, 2022 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Salary increases	4.00% per year
Investment rate of return	6.00%, compounded annually
Cost-of-living adjustment	1.50% per year of original benefit amount

Mortality rates were based on the SOA RP-2014 Total Data Set Mortality with Scale MP-2021.

Actuarial Assumptions

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset class	Long-term expected real rate of return	Target allocation
US equity – large cap	5.24%	57.00%
US equity – small/mid cap	6.37%	3.00%
Fixed income	6.07%	40.00%
		100%

Discount Rate

The discount rate used to measure the total pension liability was 6.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that the Department contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate.

Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Note 11. **Pension Plan – Gallatin Department of Electricity**

Changes in Net Pension Liability

	Total pension liability (a)	**Plan fiduciary net position (b)**	**Net pension liability (asset) (a)-(b)**
Balance, June 30, 2021	$ 11,776,198	$ 14,607,209	$ (2,831,011)
Service cost	217,805	-	217,805
Interest	817,982	-	817,982
Differences between expected and actual experience	-	-	-
Contributions, employer	-	600,000	(600,000)
Contributions, employees	-	59,943	(59,943)
Net investment income	-	(1,415,589)	1,415,589
Benefits paid, including refunds and contributions	(627,700)	(627,700)	-
Changes in assumptions	1,467,410	-	1,467,410
Administrative expenses	-	(77,846)	77,846
Net change	1,875,497	(1,461,192)	3,336,689
Balance, June 30, 2022	**$ 13,651,695**	**$ 13,146,017**	**$ 505,678**

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Department, calculated using the discount rate of 6.00%, as well as what the Department's net pension liability would be if it were calculated using a discount rate that is 1% lower (5.00%) or 1% higher (7.00%) than the current rate:

	1% Decrease (5.00%)	**Current rate (6.00%)**	**1% Increase (7.00%)**
Total pension liability	$ 15,405,145	$ 13,651,695	$ 12,184,285
Plan fiduciary net pension	13,146,017	13,146,017	13,146,017
Net pension liability (asset)	**$ 2,259,128**	**$ 505,678**	**$ (961,732)**

For the year ended June 30, 2023, the Department recognized pension expense as follows:

Components of pension expense	
Service cost	$ 217,805
Interest on total pension liability	817,982
Differences between expected and actual experience	30,313
Changes in assumptions	377,392
Employee contributions	(59,943)
Projected earnings on assets	(1,020,936)
Differences between expected and actual earnings	98,074
Pension plan administrative expense	77,846
Total expense	**$ 538,533**

Note 11. **Pension Plan – Gallatin Department of Electricity**

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2023, the Department reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of resources	Deferred inflows of resources
Differences between expected and actual experience	$ 180,253	$ 43,005
Changes in assumptions	1,324,924	71,732
Net difference between expected and actual earnings on pension plan investments	724,068	-
Contributions made subsequent to measurement date of June 30, 2023	600,000	-
	$ 2,829,245	**$ 114,737**

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ending June 30,	
2024	$ 564,921
2025	606,562
2026	461,160
2027	481,865
2028	-
Thereafter	-

Note 12. **Pension Plan Reconciliation**

Reconciliation of both pension plans to the amounts presented on the Statement of Net Position:

	Governmental activities	Business-type activities	Total
Net pension liability			
Public employee retirement plan	$ 194,396	$ 47,816	$ 242,212
Gallatin Department of Electricity			
Employee pension plan	-	505,678	505,678
Total net pension liability	**$ 194,396**	**$ 553,494**	**$ 747,890**
Deferred outflows related to pensions			
Public employee retirement plan	$ 660,931	$ 158,720	$ 819,651
Gallatin Department of Electricity			
Employee pension plan	-	3,423,069	3,423,069
Total deferred outflows related to pensions	**$ 660,931**	**$ 3,581,789**	**$ 4,242,720**
Deferred inflows related to pension			
Public employee retirement plan	$ 35,235	$ 7,629	$ 42,864
Gallatin Department of Electricity			
Employee pension plan	-	220,491	220,491
Total deferred inflows related to pensions	**$ 35,235**	**$ 228,120**	**$ 263,355**
Pension expense			
Public employee retirement plan	$ 172,114	$ 39,799	$ 211,913
Gallatin Department of Electricity			
Employee pension plan	-	538,533	538,533
Total pension expense	**$ 172,144**	**$ 578,332**	**$ 750,446**

Note 13. **Other Post-Employment Benefits – Gallatin Department of Electricity**

General Information about the OPEB Plan

Plan Description

The Electric Department Post-Retirement Medical Plan (PRMP) is a single-employer defined benefit plan administered by the Gallatin Electric Power Board. There are no assets accumulating in a trust that meet the requirements of GASB Statement No. 75, as amended. The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to $150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend benefit provisions is assigned to the Gallatin Electric Power Board.

Note 13. **Other Post-Employment Benefits – Gallatin Department of Electricity**

General Information about the OPEB Plan

Employees Covered by Benefit Terms

At the measurement date of June 30, 2022, the following participants were covered by the benefit terms:

Inactive employees currently receiving benefits	16
Active employees	19
	35

Total OPEB Liability

The Electric Department's total OPEB liability of $526,990 was measured as of June 30, 2022.

Actuarial Assumptions

The total OPEB liability in the July 1, 2022 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.00%
Salary increases	2.50%
Discount rate	3.54% as of June 30, 2022
Healthcare cost trend rate	None assumed
Participation rate	100% assumed

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RPH-2014 headcount-weighted total dataset fully generational table with projection scale MP-2020.

Changes in Total OPEB Liability

		Liability
Balance, June 30, 2021	$	630,245
Service cost		6,359
Interest		13,500
Differences between expected and actual experience		(1,985)
Changes in assumptions and other inputs		(98,281)
Benefit payments		(22,848)
Net change		(103,255)
Balance, June 30, 2022	**$**	**526,990**

Note 13. **Other Post-Employment Benefits – Gallatin Department of Electricity**

Changes in Total OPEB Liability

Changes in assumptions and other inputs reflect a change in the discount rate from 2.16% as of June 30, 2021 to 3.54% as of June 30, 2022.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is 1% lower (2.54%) or 1% higher (4.54%) than the current discount rate:

	1% Decrease (2.54%)	Current rate (3.54%)	1% Increase (4.54%)
Total OPEB liability	$ 595,528	$ 526,990	$ 470,187

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources

OPEB Expense

For the year ended June 30, 2022, the Department recognized OPEB expense of $17,977.

Deferred Outflows of Resources and Deferred Inflows of Resources

At June 30, 2023, the Department reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred outflows of resources	Deferred inflows of resources
Differences between expected and actual experience	$ 23,289	$ 4,964
Changes in assumptions	63,602	100,790
Total to be amortized	86,891	105,754
Contributions made subsequent to measurement date	506,933	-
	$ 593,824	**$ 105,754**

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ending June 30,	
2024	$ (1,882)
2025	(1,882)
2026	2,733
2027	1,461
2028	(16,221)
Thereafter	(3,072)

Note 14. **Defined Contribution Plan – Gallatin Department of Electricity**

General Information about the Defined Contribution Plan

Plan Description

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a Roth option, effective March 1, 2016. The Plan will be administered by the Treasurer for the State of Tennessee, which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services, and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees of the Department hired after March 1, 2016 and will also be available to those employees hired before March 1, 2016 on a voluntary basis.

Funding Policy

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after March 1, 2016, the Department will match 200% of participant elective deferrals of up to 5% of compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

Years of service	Percentage vested
1	20%
2	40%
3	60%
4	80%
5	100%

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset Plan expenses. As of June 30, 2022, there has been one forfeiture in the amount of $2,076. For employees hired before March 1, 2016, they can make elective deferrals into the plan with no matching contribution from the Department.

Annual Cost

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed $153,374 on behalf of the eligible employees during the fiscal year ended June 30, 2023. There were no outstanding contributions at June 30, 2023.

Note 15. **Other Information**

Risk Management

City of Gallatin

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool than purchase commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverages. The City joined the Tennessee Municipal League Risk Pool (the Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claims history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

Gallatin Department of Electricity

It is the policy of the Gallatin Electric Department to purchase commercial insurance for the risks of loss to which it is exposed. These risks include general liability, property and casualty, worker's compensation, employee health, and accident. Settled claims have not exceeded this commercial coverage in any of the past three fiscal years and there has been no significant reduction in the amount of coverage.

Commitments

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at cost based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

As of June 30, 2023, the City entered into multiple construction contracts related to road, water, and sewer construction projects of approximately $23,700,000 and has spent approximately $23,600,000 of committed funds, with a remaining balance of approximately $100,000 in outstanding commitments at June 30, 2023.

The City has entered into an agreement with the Sumner County Resource Authority (the Resource Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that, in the event the Resource Authority's revenues are insufficient to cover the costs of operation and debt retirement, the County and Cities shall pay such deficit in the proportions of 3/7, 2/7, and 2/7, respectively. These same entities have executed a "contract in Lieu of Performance Bond" with the State of Tennessee for financial assurance of the closure and post-closure costs of the landfill, should the Resource Authority be unable to do so.

The Resource Authority operates primarily as a solid waste transfer station. The City utilizes the Resource Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is uncertainty as to the future operations of the Resource Authority, as well as the costs relative to the change in operations or possible dissolution.

Note 15. **Other Information**

Commitments

The Resource Authority, as of June 30, 2023, which is the latest available financial statement date, has net investment in capital assets in the amount of $2,524,886 and an unrestricted net position of $5,716,940, as compared to 2,198,393 and $3,870,287, respectively, for 2022. During 2023, the City paid the Resource Authority $880,683 in tipping fees for solid waste.

Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; however, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, though legal counsel does not expect any possible liability to exceed the City's limits of insurance.

Power Contract

The Utility has a power contract with the TVA whereby the electric system purchases all of its electric power from the TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishing, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the County and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

Note 16. **TVA Advances Payable**

Advances payable are made up of advances to the Electric Department from TVA for home weatherization loans and interest. The TVA loans are paid in monthly installments as the Electric Department is paid by the customers. These advances bear interest at either 6% or 8%. They are secured by UCC-1s on the customer's heating and air units. At June 30, 2023, outstanding funds advanced by TVA totaled $1,579.

Note 17. **Subsequent Events**

Management has evaluated subsequent events through December 18, 2023, the date on which the financial statements were available for issuance.

Required Supplementary Information

City of Gallatin, Tennessee
Schedule of Changes in Net Pension Liability (Asset) and Related Ratios Based on Participation
in the Public Employee Hybrid Pension Plan of the TCRS
Last Ten Fiscal Years

	2022	2021	2020	2019
Total Pension Liability				
Service cost	$ 778,219	$ 666,354	$ 575,836	$ -
Interest	195,733	137,048	72,620	-
Changes in benefit terms	-	-	-	426,349
Differences between actual and expected experience	136,142	(52,390)	153,571	-
Changes of assumptions	-	169,586	-	-
Benefit payments, including refunds of employee contributions	(38,297)	(7,761)	-	(536)
Net change in total OPEB liability	1,071,797	912,837	802,027	425,813
Total pension liability, beginning of year	2,140,677	1,227,840	425,813	-
Total pension liability, end of year (a)	3,212,474	2,140,677	1,227,840	425,813
Plan Fiduciary Net Position				
Contributions, employer	247,676	190,332	170,527	107,409
Contributions, employee	648,370	556,528	513,637	323,520
Net investment income	(101,596)	385,616	37,963	15,540
Benefit payments, including refunds of employee contributions	(38,297)	(7,761)	-	(536)
Administrative expenses	(25,361)	(21,022)	(19,265)	(13,018)
Other	-	-	-	-
Net change in plan fiduciary net position	730,792	1,103,693	702,862	432,915
Plan fiduciary net position, beginning	2,239,470	1,135,777	432,915	-
Plan fiduciary net position, ending (b)	2,970,262	2,239,470	1,135,777	432,915
Net pension liability (asset), ending (a)-(b)	**$ 242,212**	**$ (98,793)**	**$ 92,063**	**$ (7,102)**
Plan fiduciary net position as a percentage of total pension liability	92.46%	104.62%	92.50%	101.67%
Covered payroll	$ 12,967,349	$ 11,130,541	$ 10,274,439	$ 6,470,377
Net pension liability (asset) as a percentage of covered payroll	1.87%	-0.89%	0.90%	-0.11%

Notes to Schedule

Changes of Assumptions

In 2021, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, and mortality improvements. In 2017, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, salary growth, and mortality improvements.

GASB 68 requires a 10-year schedule for this data to be presented starting *with the implementation of GASB 68*. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee

Schedule of Contributions Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS

Last Ten Fiscal Years

	2023	2022	2021	2020	2019
Actuarially determined contribution	$ 374,974	$ 247,676	$ 190,332	$ 170,527	$ 107,409
Contributions in relation to the actuarially determined contribution	374,974	247,676	190,332	170,527	107,409
Contribution deficiency (excess)	$ -	$ -	$ -	$ -	$ -
Covered-employee payroll	$ 15,488,930	$ 12,962,273	$ 11,130,541	$ 10,274,439	$ 6,470,377
Contributions as a percentage of covered-employee payroll	2.42%	1.91%	1.71%	1.66%	1.66%

Notes to Schedule

GASB 68 requires a 10-year schedule for this data to be presented starting *with the implementation of GASB 68*. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if

Beginning in FY 2019, the City placed the actuarially determined contribution rate of covered payroll in the pension plan and placed the remainder of the 4% contractually required contribution into the Pension Stabilization Reserve Trust (SRT).

2019: Pension - 1.66%, SRT - 2.34%
2020: Pension - 1.66%, SRT - 2.34%
2021: Pension - 1.71%, SRT - 2.29%
2022: Pension - 1.91%, SRT - 2.09%
2023: Pension - 2.42%, SRT - 1.58%

Valuation Date

Actuarially determined contribution rates for fiscal year 2023 were calculated based on the June 30, 2021 actuarial valuation.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry age normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Amortization period	Varies by year
Asset valuation	10-year smoothed within a 20% corridor to market value
Inflation	2.25%
Salary increases	Graded salary ranges from 8.72 to 3.44% based on age, inflation, averaging 4.00%
Investment rate of return	6.75%, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticpated improvement
Cost of living adjustment	2.13%

Changes of Assumptions

In 2021, the following assumptions were changed: decreased inflation rate from 2.50% to 2.25%; decreased the investment rate of return from 7.25% to 6.75%; decreased the cost-of-living adjustment from 2.25% to 2.125%; and modified mortality assumptions. In 2017, the following assumptions were changed: decreased inflation rate from 3.00% to 2.50%; decreased the investment rate of return from 7.50% to 7.25%; decreased the cost-of-living adjustment from 2.50% to 2.25%; and decreased salary growth graded ranges from an average of 4.25% to an average of 4.00%.

City of Gallatin, Tennessee

Schedule of Changes in Net Pension Liability (Asset) and Related Ratios Based on Participation
in the Gallatin Electric Department Employee Pension Plan
Last 10 Fiscal Years

	2022	2021	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability									
Service cost	$ 217,805	$ 254,942	$ 255,677	$ 183,037	$ 185,023	$ 177,907	$ 165,004	$ 160,612	$ 136,831
Interest	817,982	794,550	771,299	723,598	691,268	685,170	659,028	652,294	559,812
Changes in benefit terms	-	-	-	-	-	-	-	-	-
Differences between expected and actual experience	-	26,471	(1)	324,343	115,214	(295,965)	-	-	22,888
Changes in assumptions	1,467,410	(45,689)	(38,813)	(28,647)	-	-	(468,590)	-	989,264
Benefit payments, including refunds of employee contributions	(627,700)	(688,070)	(623,543)	(564,525)	(492,024)	(482,369)	(445,233)	(403,705)	(496,184)
Net change in total pension liability	1,875,497	342,204	364,619	637,806	499,481	84,743	(89,791)	409,201	1,212,611
Total pension liability, beginning	11,776,198	11,433,994	11,069,375	10,431,569	9,932,088	9,847,345	9,937,136	9,527,935	8,315,324
Total pension liability, ending (a)	13,651,695	11,776,198	11,433,994	11,069,375	10,431,569	9,932,088	9,847,345	9,937,136	9,527,935
Plan Fiduciary Net Position									
Contributions, employer	600,000	750,000	1,050,000	1,200,000	800,000	1,040,000	666,994	385,256	257,050
Contributions, employee	59,943	59,095	59,546	61,115	62,396	62,487	65,855	61,065	57,685
Net investment income	(1,415,589)	3,077,505	408,674	685,759	610,970	663,332	185,887	118,498	644,573
Benefit payments, including refunds of employee contributions	(627,700)	(688,070)	(623,543)	(564,525)	(492,024)	(482,369)	(445,233)	(403,705)	(496,184)
Administrative expenses	(77,846)	(72,959)	(57,274)	(49,663)	(45,318)	(39,030)	(34,134)	(32,684)	(31,671)
Other	-	-	-	-	-	-	-	-	-
Net change in plan fiduciary net position	(1,461,192)	3,125,571	837,403	1,332,686	936,024	1,244,420	439,369	128,430	431,453
Plan fiduciary net position, beginning	14,607,209	11,481,638	10,644,235	9,311,549	8,375,525	7,131,105	6,691,736	6,563,306	6,131,853
Plan fiduciary net position, ending (b)	13,146,017	14,607,209	11,481,638	10,644,235	9,311,549	8,375,525	7,131,105	6,691,736	6,563,306
Net pension liability (asset), ending (a - b)	**$ 505,678**	**$ (2,831,011)**	**$ (47,644)**	**$ 425,140**	**$ 1,120,020**	**$ 1,556,563**	**$ 2,716,240**	**$ 3,245,400**	**$ 2,964,629**
Plan fiduciary net position as a percentage of total pension liability	96.30%	124.04%	100.42%	96.16%	89.26%	84.33%	72.42%	67.34%	68.88%
Covered payroll	$ 1,991,942	$ 1,991,942	$ 2,085,475	$ 2,085,475	$ 1,958,148	$ 2,043,550	$ 2,030,845	$ 1,952,736	$ 1,934,194
Net pension liability (asset) as a percentage of covered payroll	25.39%	-142.12%	-2.28%	20.39%	57.20%	76.17%	133.75%	166.20%	153.27%

Notes to Schedule

GASB 68 requires a 10-year schedule for this data to be presented starting *with the implementation of GASB 68*. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee
Schedule of Contributions Based on Participation in the Gallatin Electric Department Employee Pension Plan
Last Ten Fiscal Years

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Actuarially determined contribution	$ 211,462	$ 200,921	$ 332,078	$ 342,422	$ 342,422	$ 417,159	$ 417,159	$ 385,256	$ 385,256	$ 253,122
Contributions in relation to the actuarially determined contribution	600,000	600,000	750,000	1,050,000	1,200,000	800,000	1,040,000	666,994	381,950	459,410
Contribution deficiency (excess)	**$ (388,538)**	**$ (399,079)**	**$ (417,922)**	**$ (707,578)**	**$ (857,578)**	**$ (382,841)**	**$ (622,841)**	**$ (281,738)**	**$ 3,306**	**$ (206,288)**
Covered-employee payroll	$ 1,945,783	$ 1,991,942	$ 1,991,942	$ 2,085,475	$ 2,085,475	$ 1,958,148	$ 2,043,550	$ 2,030,845	$ 1,952,736	$ 1,934,194
Contributions as a percentage of covered-employee payroll	30.84%	30.12%	37.65%	50.35%	57.54%	40.85%	50.89%	32.84%	19.56%	23.75%

Notes to Schedule

GASB 68 requires a 10-year schedule for this data to be presented starting *with the implementation of GASB 68* . The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Methods and assumptions used to determine contribution rates:

Valuation date	Actuarially determined contribution rates for the year ended June 30, 2023 were calculated based on the June 30, 2021 actuarial valuation.
Actuarial cost method	Entry age normal, level percentage of pay
Amortization method	Level dollar
Remaining amortization period	Initial amortization period: 30 years as of 2014
Asset valuation	Market value of plan assets
Cost-of-living adjustments	1.50%
Salary increases	4.00%
Investment rate of return	6.00%
Retirement age	65
Mortality	SOA RP-2014 Total Dataset Mortality Scale MP-2021
Disabled mortality	1965 Railroad Board Disability Annuity Mortality

City of Gallatin, Tennessee

Schedule of Investment Returns Based on Participation in the Gallatin Electric Department Employee Pension Plan

Last Ten Fiscal Years

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Annual money-weighted rate of return, net of investment expense	9.97%	-10.54%	26.42%	3.84%	7.09%	7.11%	9.04%	1.75%	1.82%	11.00%

Notes to Schedule

GASB 68 requires a 10-year schedule for this data to be presented starting *with the implementation of GASB 68* . The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee
Schedule of Changes in Total OPEB Liability and Related Ratios - Electric Department
Last Ten Fiscal Years

	2023	2022	2021	2020	2019	2018	2017
Total OPEB Liability							
Service cost	$ 10,377	$ 6,359	$ 9,116	$ 6,250	$ 6,485	$ 7,587	$ 9,220
Interest	18,974	13,500	13,904	18,985	18,085	16,911	14,641
Changes of benefit terms	11,914	-	-	-	-	-	-
Differences between actual and expected experience	(10,450)	(1,985)	(4,878)	34,352	-	7,940	3,563
Changes in assumptions	(135,116)	(98,281)	4,124	89,394	22,113	(16,731)	(46,674)
Benefit payments, net	(21,933)	(22,848)	(23,975)	(20,354)	(15,783)	(15,914)	(25,113)
Net change in total OPEB liability	(126,234)	(103,255)	(1,709)	128,627	30,900	(207)	(44,363)
Total OPEB liability, beginning of year	526,990	630,245	631,954	503,327	472,427	472,634	516,997
Total OPEB liability, end of year (a)	**$ 400,756**	**$ 526,990**	**$ 630,245**	**$ 631,954**	**$ 503,327**	**$ 472,427**	**$ 472,634**
Covered-employee payroll	$ 2,165,686	$ 2,165,686	$ 2,165,686	$ 2,085,475	$ 2,005,264	$ 1,958,148	$ 2,043,550
Net OPEB liability as a percentage of covered-employee payroll	18.50%	24.33%	29.10%	30.30%	25.10%	24.13%	23.13%

Notes to Schedule

GASB 75 requires a 10-year schedule for this data to be presented starting *with the implementation of GASB 75* . The information in this schedule is not required to be presented retroactively prior to the implementation date.

There are no assets accumulating in a trust related to this OPEB plan that meet the criteria in paragraph 4 of GASB 75.

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2017	3.58%
2018	3.87%
2019	3.50%
2020	2.21%
2021	2.16%
2022	3.54%
2023	6.17%

There were no benefit changes during the measurement period.

City of Gallatin, Tennessee
Schedule of Contributions Based on Participation and Schedule of Investment Returns
in the Gallatin Electric Department OPEB Plan
Last Ten Fiscal Years

Schedule of Contributions

	2023
Actuarially determined contribution	$ 27,266
Contributions in relation to the actuarially determined contribution	485,000
Contribution deficiency (excess)	**$ (457,734)**
Covered-employee payroll	Not available
Contributions as a percentage of covered-employee payroll	Not available

Notes to Schedule

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Individual entry age normal
Amortization method	Level dollar
Amortization period	30 years
Asset valuation method	Market value of plan assets
Salary increases	2.50%
Inflation rate	2.00%
Discount rate	6.17%
Retirement age	65
Mortality	RPH-2014 Headcount-weighted total dataset table with projection scale MP-2020
Disabled mortality	1965 Railroad Board Disability Annuity Mortality

Schedule of Investment Returns

	2023
Annual money-weighted rate of return, net of investment expense	6.56%

Supplementary Information

Nonmajor Governmental Funds

Special Revenue Funds:

Special Revenue Funds account for specific revenues that are legally restricted to specific expenditure purposes. The Special Revenue Funds are:

Special Services Fund – To account for sex offender registry payments that are used for specific purposes and private donations to be used for the "Shop with a Cop" Christmas program.

Drug Fund – To account for the resources used in the City's drug enforcement and education programs.

Environmental Services Fund – To account for the resources used for the City's garbage collection activities.

Stormwater Fund – To account for the stormwater fee that is used for stormwater maintenance and repairs throughout the City.

Industrial Development Board – To account for activities by the City to encourage economic development.

Permanent Funds:

Permanent Funds account for specific revenues for which the corpus of the donation is restricted by external donors. The Permanent Funds are:

Witherspoon Loan Fund – To account for a donation that was received for the purpose of making loans to graduating seniors to be used for college expenses.

Cemetery Trust Fund – To account for donations that have been received to maintain the cemetery in perpetuity.

City of Gallatin, Tennessee
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2023

	Special Revenue Funds						Permanent Funds			
	Special Services Fund	**Drug Fund**	**Environmental Services Fund**	**Stormwater Utility Fund**	**Industrial Development Fund**	**Total Special Revenue Funds**	**Witherspoon Loan Fund**	**Cemetery Trust Fund**	**Total Permanent Funds**	**Total Nonmajor Governmental Funds**
Assets										
Cash	$ 109,324	$ 160,170	$ 1,831,943	$ 3,099,103	$ -	$ 5,200,540	$ 310,113	$ 16,653	$ 326,766	$ 5,527,306
Investments	-	-	-	-	-	-	-	21,025	21,025	21,025
Receivables, net	-	-	264,513	125,151	-	389,664	134,521	-	134,521	524,185
Inventory	-	-	16,710	-	-	16,710	-	-	-	16,710
Other assets	-	-	-	-	-	-	11,102	-	11,102	11,102
Restricted assets,						-				
TCRS Stabilization Fund	-	-	32,373	22,235	-	54,608	-	-	-	54,608
Total assets	**$ 109,324**	**$ 160,170**	**$ 2,145,539**	**$ 3,246,489**	**$ -**	**$ 5,661,522**	**$ 455,736**	**$ 37,678**	**$ 493,414**	**$ 6,154,936**
Liabilities and Fund Balances										
Liabilities										
Accounts payable	$ 985	$ -	$ 108,224	$ 23,056	$ -	$ 132,265	$ -	$ -	$ -	$ 132,265
Performance deposits	-	-	-	-	-	-	-	-	-	-
Unearned Evidence Funds	65,006	-	-	-	-	65,006	-	-	-	65,006
Total liabilities	65,991	-	108,224	23,056	-	197,271	-	-	-	197,271
Fund balances										
Nonspendable										
Prepaid Items	-	-	-	-	-	-	11,102	-	11,102	11,102
Perpetual Care	-	-	-	-	-	-	-	21,025	21,025	21,025
Inventory	-	-	16,710	-	-	16,710	-	-	-	16,710
Restricted for										
Funds held in trust	-	-	-	-	-	-	444,634	-	444,634	444,634
Environmental services	-	-	1,988,232	-	-	1,988,232	-	-	-	1,988,232
Drug enforcement	-	160,170	-	-	-	160,170	-	-	-	160,170
Stormwater	-	-	-	3,201,198	-	3,201,198	-	-	-	3,201,198
Hybrid Retirement Stabilization Funds	-	-	32,373	22,235	-	54,608	-	-	-	54,608
Assigned to										
Police Special Projects	43,333	-	-	-	-	43,333	-	-	-	43,333
Cemetery Use	-	-	-	-	-	-	-	16,653	16,653	16,653
Total fund balances	43,333	160,170	2,037,315	3,223,433	-	5,464,251	455,736	37,678	493,414	5,957,665
Total liabilities and fund balances	**$ 109,324**	**$ 160,170**	**$ 2,145,539**	**$ 3,246,489**	**$ -**	**$ 5,661,522**	**$ 455,736**	**$ 37,678**	**$ 493,414**	**$ 6,154,936**

City of Gallatin, Tennessee

Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds
For the Fiscal Year Ended June 30, 2023

	Special Revenue Funds						Permanent Funds			
	Special Services Fund	Drug Fund	Environmental Services Fund	Stormwater Utility Fund	Industrial Development Fund	Total Special Revenue Funds	Witherspoon Loan Fund	Cemetery Trust Fund	Total Permanent Funds	Total Nonmajor Governmental Funds
Revenues										
Charges for services	$ -	$ -	$ 3,269,469	$ 2,002,345	$ -	$ 5,271,814	$ -	$ -	$ -	$ 5,271,814
Fines and forfeitures	5,400	68,705	-	-	-	74,105	-	-	-	74,105
Other revenue	56,597	28,987	104,496	47,736	-	237,816	6,777	1,377	8,154	245,970
Total revenues	61,997	97,692	3,373,965	2,050,081	-	5,583,735	6,777	1,377	8,154	5,591,889
Expenditures										
Current										
Public safety	74,140	53,413	-	-	-	127,553	-	-	-	127,553
Environmental services	-	-	2,426,279	869,397	-	3,295,676	-	-	-	3,295,676
Economic development	-	-	-	-	-	-	-	-	-	-
Capital outlay	-	64,750	684,847	77,585	-	827,182	-	-	-	827,182
Total expenditures	74,140	118,163	3,111,126	946,982	-	4,250,411	-	-	-	4,250,411
Excess of revenues over expenditures	(12,143)	(20,471)	262,839	1,103,099	-	1,333,324	6,777	1,377	8,154	1,341,478
Other financing sources										
Transfers in	-	-	31,088	16,340		47,428	-	-	-	47,428
Transfer to other funds	-	-	-	-	(145,664)	(145,664)	-	-	-	(145,664)
Fund balances, beginning of year	55,476	180,641	1,743,388	2,103,994	145,664	4,229,163	448,959	36,301	485,260	4,714,423
Fund balances, end of year	**$ 43,333**	**$ 160,170**	**$ 2,037,315**	**$ 3,223,433**	**$ -**	**$ 5,464,251**	**$ 455,736**	**$ 37,678**	**$ 493,414**	**$ 5,957,665**

City of Gallatin, Tennessee
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Special Services Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts			
	Original	**Final**	**Actual amounts**	**Variance with final budget**
Revenues				
Fines and forfeitures				
Sex offender registry	$ 5,000	$ 5,000	$ 5,400	$ 400
Other				
Donations	50,000	50,000	56,550	6,550
Interest	-	-	47	47
Total revenues	55,000	55,000	61,997	6,997
Expenditures				
Current				
Public Safety, Police				
Office supplies	5,000	5,000	99	4,901
Grants and donation	50,000	85,000	74,041	10,959
Total expenditures	55,000	90,000	74,140	15,860
Excess of revenues over (under) expenditures	-	(35,000)	(12,143)	22,857
Fund balance, beginning of year	55,476	55,476	55,476	-
Fund balance, end of year	**$ 55,476**	**$ 20,476**	**$ 43,333**	**$ 22,857**

City of Gallatin, Tennessee
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Drug Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts			
	Original	Final	Actual amounts	Variance with final budget
Revenues				
Fines and forfeitures	$ 90,000	$ 90,000	$ 68,705	$ (21,295)
Sale of equipment	-	24,285	28,987	4,702
Total revenues	90,000	114,285	97,692	(16,593)
Expenditures				
Current				
Public Safety, Police				
Office supplies	25,000	54,285	53,413	872
Capital outlay	65,000	65,000	64,750	250
Total expenditures	90,000	119,285	118,163	1,122
Excess of revenues over (under) expenditures	-	(5,000)	(20,471)	(15,471)
Fund balance, beginning of year	180,641	180,641	180,641	-
Fund balance, end of year	**$ 180,641**	**$ 175,641**	**$ 160,170**	**$ (15,471)**

City of Gallatin, Tennessee

Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Environmental Services Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts			
	Original	**Final**	**Actual amounts**	**Variance with final budget**
Revenues				
Charges for services	$ 3,072,000	$ 3,072,000	$ 3,269,469	$ 197,469
Other				
Sale of supplies	60,000	60,000	98,470	38,470
Miscellaneous	-	-	6,026	6,026
Total revenues	3,132,000	3,132,000	3,373,965	241,965
Expenditures				
Current				
Environmental services				
Salaries	803,356	803,356	769,511	33,845
Employee benefit and taxes	351,793	351,793	297,186	54,607
Insurance	38,000	38,000	37,338	662
Utilities	19,931	19,931	16,672	3,259
Repairs and maintenance	85,000	85,000	79,339	5,661
Other contractual services	1,015,000	1,017,141	857,589	159,552
Supplies	9,000	9,000	8,398	602
Gas, oil, diesel, etc.	130,000	130,000	158,262	(28,262)
Supplies for resale	80,000	80,000	80,005	(5)
Natural materials	100,000	100,000	55,664	44,336
Professional services	65,826	65,826	65,826	-
Miscellaneous	3,450	3,450	489	2,961
Capital outlay	516,000	1,046,956	684,847	362,109
Total expenditures	3,217,356	3,750,453	3,111,126	639,327
Excess of revenues over (under) expenditures	(85,356)	(618,453)	262,839	(881,292)
Other financing sources				
Transfers in	-	-	31,088	(31,088)
Excess of revenues and other sources over expenditures and other uses	(85,356)	(618,453)	293,927	(912,380)
Fund balance, beginning of year	1,743,388	1,743,388	1,743,388	-
Fund balance, end of year	**$ 1,658,032**	**$ 1,124,935**	**$ 2,037,315**	**$ (912,380)**

City of Gallatin, Tennessee
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Stormwater Utility Fund
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts			
	Original	**Final**	**Actual amounts**	**Variance with final budget**
Revenues				
Charges for services	$ 1,900,000	$ 1,900,000	$ 2,002,345	$ 102,345
Other				
Donations	-	47,736	47,736	-
Total revenues	1,900,000	1,947,736	2,050,081	102,345
Expenditures				
Current				
Environmental services				
Salaries	656,352	656,352	482,804	173,548
Employee benefit and taxes	301,006	301,006	169,958	131,048
Insurance	-	-	23,112	(23,112)
Printing and publications	-	-	110	(110)
Utilities	6,800	6,800	5,474	1,326
Repairs and maintenance	15,000	15,000	15,997	(997)
Supplies	4,900	7,400	2,879	4,521
Gas, oil, diesel, etc.	19,500	19,500	23,848	(4,348)
Professional services	539,279	673,542	85,075	588,467
Miscellaneous	176,820	176,820	60,140	116,680
Capital outlay	705,500	1,397,236	77,585	1,319,651
Total expenditures	2,425,157	3,253,656	946,982	2,306,674
Excess of revenues over (under) expenditures	(525,157)	(1,305,920)	1,103,099	(2,409,019)
Other financing sources				
Transfers in	-	-	16,340	(16,340)
Excess of revenues and other sources over expenditures and other uses	(525,157)	(1,305,920)	1,119,439	(2,425,359)
Fund balance, beginning of year	2,103,994	2,103,994	2,103,994	-
Fund balance, end of year	**$ 1,578,837**	**$ 798,074**	**$ 3,223,433**	**$ (2,425,359)**

City of Gallatin, Tennessee
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Industrial Development Board
For the Fiscal Year Ended June 30, 2023

	Budgeted amounts			
	Original	**Final**	**Actual amounts**	**Variance with final budget**
Revenues				
Other				
Payment in lieu from industry	$ -	$ -	$ -	$ -
Application fee	-	-	-	-
Interest	-	-	-	-
Total revenues	-	-	-	-
Expenditures				
Current				
Economic Development	-	-	-	-
Excess of revenues over (under) expenditures	-	-	-	-
Other financing sources				
Transfers to other funds	-	-	(145,664)	145,664
Fund balance, beginning of year	145,664	145,664	145,664	-
Fund balance, end of year	**$ 145,664**	**$ 145,664**	**$ -**	**$ 145,664**

City of Gallatin, Tennessee
Schedule of Expenditures of Federal Awards and State Financial Assistance
For the Fiscal Year Ended June 30, 2023

Grantor / Pass-through Grantor	Program name	Assistance listing	Contract number	Expenditures	Passed through to subrecipients
Federal Awards					
US Department of Homeland Security, TN Highway Safey Office	Police Traffic Services State & Community Highway Safety Projects (THSO)	20.600	Z23THS103	$ 19,136	$ -
	Total US Department of Safety and Homeland Security			19,136	-
US Department of Justice, Bureau of Justice Assistance					
Federal Bureau of Investigation	FBI Violent Crimes Task Force Reimbursement	16.U01	MOU	10,786	-
Office of Justice Programs	Bulletproof Vest Program, Justice Assistance Grants	16.607	2020-BUBX-2002-3062	3,040	-
	Justice Mental Health Collaboration Program, Embedded Clinician	16.745	2020-MO-BX-0030	41,545	-
	Comprehensive Opioid, Stimulant, and Substance Abuse Program	16.838	2020-AR-BX-0053	82,880	-
	Total US Department of Justice - BJA			138,251	-
US Department of Transportation TN Department of Transportation	Highway Planning and Construction Cluster				
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	STP-M-8300(70)	444,048	-
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	EM-NH-6(130)/ 83LPLM-F3-122	727,172	-
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	SRTS-4569(10)/83LPLM	14,593	-
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	83PLM-F3-110/ CM-9306(21)	868,824	-
	Total Highway Planning and Construction Cluster			2,054,637	-
	Total US Department of Transportation			2,054,637	-
US Department of Treasury TN Department of Finance and Administration	COVID-19 - Coronavirus State and Local Fiscal Recovery Funds	21.027	N/A	30,000	-
	Total US Department of The Treasury			30,000	
Total federal awards				2,242,024	-

Continued

City of Gallatin, Tennessee
Schedule of Expenditures of Federal Awards and State Financial Assistance
For the Fiscal Year Ended June 30, 2023

Grantor / Pass-through Grantor	Program name	Assistance listing	Contract number	Expenditures	Passed through to subrecipients
State Financial Assistance					
Total state financial assistance				-	-
Total federal awards and state financial assistance				**$ 2,242,024**	**$ -**

Note 1. **Basis of Presentation**

This schedule of expenditures of federal awards and state financial assistance summarizes the expenditures of the City under programs of the federal and state governments for the year ended June 30, 2023. The information in this schedule is presented in accordance with the requirements of Title 2 US Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, change in net position, or cash flows of the City. Expenditures reported on the schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 2. **Summary of Significant Accounting Policies**

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

Note 3. **Indirect Cost Rate**

The City has not elected to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance.

City of Gallatin, Tennessee
Schedule of Changes in Long-term Debt by Individual Issue
For the Fiscal Year Ended June 30, 2023

Description of Indebtedness	Original amount of issue	Interest rate	Date of issue	Last maturity date	Outstanding July 1, 2022	Issued during period	Paid and/or matured during period	Refunded during period	Outstanding June 30, 2023
Governmental Activities									
Bonds payable									
Payable through General Fund									
GO improvement bonds, Series 2014	$ 14,185,000	2.00%-5.00%	8/18/14	1/1/34	$ 8,525,000	$ -	$ 950,000	$ -	$ 7,575,000
GO bonds, Series 2016	$ 11,040,000	2.00%-5.00%	1/20/16	1/1/36	8,210,000	-	500,000	-	7,710,000
GO bonds, Series 2021	$ 9,725,000	2.00%-5.00%	9/28/11	1/1/41	9,400,000	-	330,000	-	9,070,000
Total long-term debt of governmental activities					**$ 26,135,000**	**$ -**	**$ 1,780,000**	**$ -**	**$ 24,355,000**
Business-type Activities									
Bonds payable									
Payable through Water and Sewer Department									
Water and Sewer Revenue Bonds, Series 2015	$ 25,000,000	3.00%-5.00%	5/19/15	7/1/40	$ 5,700,000	$ -	$ 1,200,000	$ -	$ 4,500,000
Water and Sewer Revenue Bonds, Series 2014	$ 14,185,000	2.00%-5.00%	8/20/14	7/1/29	2,690,000	-	285,000	-	2,405,000
Water and Sewer Revenue Bonds, Series 2011	$ 8,955,000	2.00%-3.625%	12/28/11	7/1/32	5,925,000	-	450,000	-	5,475,000
Gas System Revenue Bonds, Series 2019	$ 5,570,000	3.00%-5.00%	4/9/19	1/1/39	4,940,000	-	210,000	-	4,730,000
Water and Sewer Revenue Improvement Bonds, Series 2021A	$ 13,400,000	3.00%-4.00%	11/17/21	7/1/46	13,400,000	-	325,000		13,075,000
Water and Sewer Revenue Refunding Bonds, Series 2021B	$ 13,965,000	0.510%-2.750%	11/17/21	7/1/37	13,965,000	-	220,000	-	13,745,000
Total long-term debt of business type activities					**$ 46,620,000**	**$ -**	**$ 2,690,000**	**$ -**	**$ 43,930,000**

City of Gallatin, Tennessee
Schedule of Long-term Debt, Principal, and Interest Requirements
Governmental Activities, by Fiscal Year
June 30, 2023

Fiscal year ending June 30,	General Obligation Improvement Bonds, Series 2014		General Obligation Bonds, Series 2016		General Obligation Bonds, Series 2021		Total	
	Principal	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**
2024	$ 975,000	$ 270,000	$ 510,000	$ 285,000	$ 350,000	$ 291,600	$ 1,835,000	$ 846,600
2025	1,010,000	221,250	520,000	259,500	365,000	274,100	1,895,000	754,850
2026	1,050,000	180,850	530,000	233,500	385,000	255,850	1,965,000	670,200
2027	1,090,000	138,850	540,000	207,000	405,000	236,600	2,035,000	582,450
2028	450,000	106,150	555,000	185,400	425,000	216,350	1,430,000	507,900
2029	460,000	92,650	570,000	163,200	445,000	195,100	1,475,000	450,950
2030	475,000	78,850	585,000	140,400	465,000	172,850	1,525,000	392,100
2031	490,000	64,600	600,000	117,000	490,000	149,600	1,580,000	331,200
2032	505,000	49,900	620,000	99,000	515,000	125,100	1,640,000	274,000
2033	525,000	34,119	640,000	80,400	535,000	104,500	1,700,000	219,019
2034	545,000	17,713	660,000	61,200	545,000	93,800	1,750,000	172,713
2035	-	-	680,000	41,400	555,000	82,900	1,235,000	124,300
2036	-	-	700,000	21,000	570,000	71,800	1,270,000	92,800
2037	-	-	-	-	580,000	60,400	580,000	60,400
2038	-	-	-	-	590,000	48,800	590,000	48,800
2039	-	-	-	-	605,000	37,000	605,000	37,000
2040	-	-	-	-	615,000	24,900	615,000	24,900
2041	-	-	-	-	630,000	12,600	630,000	12,600
Total	**$ 7,575,000**	**$ 1,254,932**	**$ 7,710,000**	**$ 1,894,000**	**$ 9,070,000**	**$ 2,453,850**	**$ 24,355,000**	**$ 5,602,782**

City of Gallatin, Tennessee
Schedule of Long-term Debt, Principal, and Interest Requirements
Business-type Activities, by Fiscal Year
June 30, 2023

Fiscal year ending June 30,	Water and Sewer Revenue Bonds, Series 2011		Water and Sewer Revenue Bonds, Series 2014		Water and Sewer Revenue Bonds, Series 2015		Gas System Revenue Bonds, Series 2019		Water and Sewer Revenue Improvement Bonds, Series 2021A		Water and Sewer Revenue Refunding Bonds, Series 2021B		Total	
	Principal	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**	**Principal**	**Interest**
2024	$ 460,000	$ 169,848	$ 315,000	$ 80,375	$ 1,255,000	$ 171,038	$ 215,000	$ 174,538	$ 340,000	$ 448,100	$ 225,000	$ 260,412	$ 2,810,000	$ 1,304,311
2025	490,000	155,598	325,000	64,375	1,305,000	120,838	225,000	168,088	355,000	434,200	225,000	258,567	2,925,000	1,201,666
2026	505,000	141,304	330,000	49,650	1,350,000	68,638	230,000	161,338	370,000	419,700	225,000	255,900	3,010,000	1,096,530
2027	520,000	126,560	340,000	37,950	-	21,388	240,000	149,838	385,000	404,600	1,640,000	242,082	3,125,000	982,418
2028	535,000	110,401	355,000	27,525	-	21,388	255,000	137,838	400,000	388,900	1,670,000	215,587	3,215,000	901,639
2029	555,000	93,023	365,000	16,725	-	21,388	265,000	125,088	415,000	372,600	1,700,000	186,092	3,300,000	814,916
2030	570,000	74,599	375,000	5,625	-	21,388	280,000	111,838	430,000	355,700	1,730,000	154,357	3,385,000	723,507
2031	590,000	54,869	-	-	-	21,388	290,000	100,638	450,000	338,100	1,765,000	120,272	3,095,000	635,267
2032	615,000	33,781	-	-	-	21,388	305,000	89,038	470,000	319,700	1,800,000	83,902	3,190,000	547,809
2033	635,000	11,509	-	-	-	21,388	315,000	76,838	490,000	300,500	1,840,000	45,310	3,280,000	455,545
2034	-	-	-	-	-	21,388	325,000	64,238	510,000	280,500	175,000	23,031	1,010,000	389,157
2035	-	-	-	-	-	21,388	335,000	54,488	530,000	259,700	180,000	18,150	1,045,000	353,726
2036	-	-	-	-	-	21,388	345,000	44,438	550,000	238,100	185,000	13,131	1,080,000	317,057
2037	-	-	-	-	-	21,388	355,000	34,088	570,000	215,700	190,000	7,975	1,115,000	279,151
2038	-	-	-	-	-	21,388	370,000	23,438	590,000	195,450	195,000	2,681	1,155,000	242,957
2039	-	-	-	-	290,000	21,387	380,000	11,875	610,000	177,450	-	-	1,280,000	210,712
2040	-	-	-	-	300,000	10,875	-	-	630,000	158,850	-	-	930,000	169,725
2041	-	-	-	-	-	-	-	-	650,000	139,650	-	-	650,000	139,650
2042	-	-	-	-	-	-	-	-	670,000	119,850	-	-	670,000	119,850
2043	-	-	-	-	-	-	-	-	690,000	99,450	-	-	690,000	99,450
2044	-	-	-	-	-	-	-	-	710,000	78,450	-	-	710,000	78,450
2045	-	-	-	-	-	-	-	-	730,000	56,850	-	-	730,000	56,850
2046	-	-	-	-	-	-	-	-	755,000	34,575	-	-	755,000	34,575
2047	-	-	-	-	-	-	-	-	775,000	11,625	-	-	775,000	11,625
Total	**$ 5,475,000**	**$ 971,492**	**$ 2,405,000**	**$ 282,225**	**$ 4,500,000**	**$ 649,432**	**$ 4,730,000**	**$ 1,527,645**	**$ 13,075,000**	**$ 5,848,300**	**$ 13,745,000**	**$ 1,887,449**	**$ 43,930,000**	**$ 11,166,543**

City of Gallatin, Tennessee
Schedule of Changes in Lease Obligations
For the Fiscal Year Ended June 30, 2023

Description of Indebtedness	Original amount of issue	Interest rate	Date of issue	Maturity date	Outstanding July 1, 2022	Issued during period	Paid and/or matured during period	Remeasure-ments	Outstanding June 30, 2023
Business-type Activities									
Leases Payable Through Electric Fund									
RJ Young - Copiers	$ 14,233	2.26%	3/15/18	4/15/23	$ 2,435	$ -	$ 2,435	$ -	$ -
RJ Young - Printer	$ 6,235	2.26%	6/17/19	6/17/24	2,574	-	1,275	-	1,299
Total leases payable - Business-type Activities					**$ 5,009**	**$ -**	**$ 3,710**	**$ -**	**$ 1,299**

City of Gallatin, Tennessee

Schedule of Lease Obligations, Principal, and Interest Requirements by Fiscal Year
June 30, 2023

Fiscal year ending June 30,	Equipment Lease RJ Young - Printer Principal	Interest	Total
2024	1,299	16	1,315
Total	**$ 1,299**	**$ 16**	**$ 1,315**

City of Gallatin, Tennessee
Schedule of Electric Rates in Force (Unaudited)
June 30, 2023

Residential Rate	
Customer charge per month	$ 16.55
Energy charge	
Per KwH per month	0.09772
General Power Rate	
GSA (Demand 0 - 5,000 kW)	
Customer charge per month	$ 19.60
Less than 50 kW and not more than 1500 kWh	
All kWh per kWh	0.11029
Between 51 and 1,000 kW with energy usage over 15000 kWh	
Customer charge per month	$ 60.00
0 to 50 kW	No charge
More than 50 to 1,000 kW	$ 10.65
First 15,000 kWh per month	0.10287
Additional kWh per month	0.07206
Between 1,001 and 5,000 kW	
Customer charge per month	$ 200.00
0 to 1,000 kW	$ 10.70
More than 1,000 kW	$ 14.87
All kWh per kWh	0.07199
GSB (Demand from 5,001 to 15,000 kW)	
Customer charge per month	$ 1,500
Demand charge	
Onpeak demand	$10.87 per kW
Max demand	$5.21 per kW
Offpeak excess of contract demand	$10.87 per kW
Energy charge	
Onpeak kWh	0.08891
Offpeak kWh first 200 HUD	0.06400
Offpeak kWh next 200 HUD	0.02942
Additional HUD	0.02601
MSB	
Customer charge per month	$ 1,500
Demand charge	
Onpeak demand	$10.24 per kW
Max demand	$2.26 per kW
Offpeak excess of contract demand	$10.24 per kW
Energy charge	
Onpeak kWh	0.08139
Offpeak kWh first 200 HUD	0.05639
Offpeak kWh next 200 HUD	0.02670
Additional HUD	0.02415

Continued

City of Gallatin, Tennessee
Schedule of Electric Rates in Force (Unaudited)
June 30, 2023

General Power Rate	
MSD (Demand over 25,000 kW)	
Customer charge per month	$ 1,500
Demand charge	
Onpeak demand	$10.24 per kW
Max demand	$1.64 per kW
Offpeak excess of contract demand	$10.24 per kW
Energy charge	
Onpeak kWh	0.07800
Offpeak kWh first 200 HUD	0.05299
Offpeak kWh next 200 HUD	0.02642
Additional HUD	0.02583
Outdoor lighting (including pole)	
73 LED	$ 10.97
113 LED	$ 15.99
100 Watt HPS	$ 9.36
150 Watt HPS	$ 12.45
175 Watt HPS	$ 9.95
250 Watt HPS	$ 15.73
400 Watt HPS	$ 20.19
Outdoor lighting kWh	0.07425
Number of Customers at Year End	
Residential	21,549
Commercial	3,238
Street and athletic fields	59
Individually billed outdoor lighting	29
	24,875

City of Gallatin, Tennessee
Schedule of Water and Sewer Rates in Force (Unaudited)
June 30, 2023

Water Department	
Inside city limits	
All customers	$11.92 for first 250 cubic feet
	$3.25 per 100 cubic feet in excess of 250 cubic feet
Outside city limits	
All customers	$17.80 for first 250 cubic feet
	$4.88 per 100 cubic feet in excess of 250 cubic feet
Sewer Department	
Inside city limits	
All customers	$11.92 for first 250 cubic feet
	$3.25 per 100 cubic feet in excess of 250 cubic feet
Outside city limits	
All customers	$17.80 for first 250 cubic feet
	$4.88 per 100 cubic feet in excess of 250 cubic feet
Water and Sewer	
Number of customers	17,055

City of Gallatin, Tennessee
Schedule of Gas Rates in Force (Unaudited)
June 30, 2023

Residential and Commercial, Inside City		
First 200 cubic	$	3.50
All usage over 200 cubic feet, per ccf		0.79
Residential and Commercial, Outside City		
First 200 cubic	$	3.85
All usage over 200 cubic feet, per ccf		0.87
Industrial		
All usage, per ccf	$	0.79
Preferred interruptible		
All usage, per ccf	$	0.49
Interruptible		
First 100,000 cubic feet	$	0.40
All usage over 100,000 cubic, per ccf		0.35
Number of Customers		
Residential		13,059
Commercial		798
Industrial		29
Interruptible		4
		13,890

Statistical Section

City of Gallatin, Tennessee
Statistical Section Summary Page
June 30, 2023

This part of the City of Gallatin, Tennessee's Annual Comprehensive Financial Report presents detailed information as a context for understanding what the information in the financial statements, the note disclosures, and the required supplementary information says about the City's overall financial health.

Sources: Except where noted, the information in these schedules is derived from the City's Annual Comprehensive Financial Reports for the relevant years.

City of Gallatin, Tennessee

Financial Trends Information

Net Position by Component - Last Ten Fiscal Years

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Governmental Activities										
Net investment in capital assets	148,606,993	$ 133,281,647	$ 106,414,737	$ 108,846,455	$ 89,932,089	$ 75,402,931	$ 67,569,997	$ 58,836,309	$ 54,468,094	$ 48,317,805
Restricted	13,571,100	13,222,353	12,609,720	1,512,468	1,325,054	1,298,730	1,205,180	593,324	535,180	615,631
Unrestricted	53,979,304	49,343,959	39,901,584	24,032,975	17,563,265	17,336,772	17,025,218	15,409,177	13,898,373	14,232,475
Total net position	$ 216,157,397	$ 195,847,959	$ 158,926,041	$ 134,391,898	$ 108,820,408	94,038,433	85,800,395	$ 74,838,810	$ 68,901,647	$ 63,165,911
Business-type Activities										
Net investment in capital assets	$ 175,181,523	$ 161,498,167	157,292,864	$ 142,206,982	$ 136,551,453	$ 127,605,680	$ 120,808,485	$ 119,097,460	$ 112,025,506	$ 107,506,931
Restricted	214,846	3,055,394	195,257	7,729	7,702	7,675	7,648	7,621	7,572	7,522
Unrestricted	51,089,336	54,246,029	45,895,729	47,714,045	37,092,490	35,652,720	37,926,071	31,826,566	35,009,804	32,232,921
Total net position	$ 226,485,705	$ 218,799,590	$ 203,383,850	$ 189,928,756	$ 173,651,645	$ 163,266,075	$ 158,742,204	$ 150,931,647	$ 147,042,882	$ 139,747,374
Primary Government										
Net investment in capital assets	$ 323,788,516	$ 294,779,814	$ 263,707,601	$ 251,053,437	$ 226,483,542	$ 203,008,611	$ 188,378,482	$ 177,933,769	$ 166,493,600	$ 155,824,736
Restricted	13,785,946	16,277,747	12,804,977	1,520,197	1,332,756	1,306,405	1,212,828	600,945	542,752	623,153
Unrestricted	105,068,640	103,589,988	85,797,313	71,747,020	54,655,755	52,989,492	54,951,289	47,235,743	48,908,177	46,465,396
Total net position	$ 442,643,102	$ 414,647,549	$ 362,309,891	$ 324,320,654	$ 282,472,053	$ 257,304,508	$ 244,542,599	$ 225,770,457	$ 215,944,529	$ 202,913,285

City of Gallatin, Tennessee

Financial Trend Information

Change in Net Position - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

Governmental activities:	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Revenues:										
Program revenues:										
Charges for services	$ 12,938,439	$ 12,275,819	$ 10,289,687	$ 8,977,852	$ 8,356,873	$ 7,863,631	$ 7,418,973	$ 6,069,552	$ 5,538,642	$ 6,526,770
Operating grants & contributions	3,895,662	4,389,561	2,421,030	2,923,203	2,616,883	1,865,673	1,275,976	1,064,123	1,234,427	1,527,429
Capital grants & contributions	8,345,507	15,384,481	12,482,796	20,335,480	12,308,868	6,010,371	8,921,557	4,790,834	10,285,239	3,533,738
General revenues:										
Property taxes	14,214,670	13,503,462	12,917,220	12,215,190	11,906,890	11,235,726	11,367,951	10,878,306	10,273,533	9,930,089
Sales taxes	20,594,060	19,014,773	15,317,664	12,826,752	12,145,080	11,516,561	11,064,266	10,074,289	9,330,486	8,661,499
Franchise taxes	397,976	451,706	507,514	465,305	487,103	468,690	466,766	448,730	421,534	385,802
Alcoholic beverage taxes	2,137,608	2,099,402	1,965,642	1,766,980	1,563,354	1,522,812	1,509,842	1,260,296	1,251,420	1,165,299
Business taxes	2,315,524	2,008,558	1,404,790	1,127,484	1,014,325	949,546	936,708	818,811	756,560	680,446
Income taxes	755	355,086	414,371	778,118	565,252	439,386	662,104	946,308	913,636	793,306
Other sources	1,356,449	10,807,740	3,512,304	375,946	1,354,312	540,551	480,686	226,818	230,319	240,216
Unrestricted interest income	847,158	81,819	240,425	313,968	298,873	303,527	246,354	115,184	68,994	79,958
In lieu of taxes and transfers	2,341,210	2,416,007	2,505,134	1,971,409	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787
Total revenues	69,385,018	82,788,414	63,978,577	64,077,687	54,228,047	44,351,729	46,050,378	38,333,637	41,850,460	34,973,339
Expenses:										
General government	11,491,711	10,679,488	9,568,230	12,362,858	10,194,485	8,545,515	7,930,678	7,186,551	6,432,191	5,147,411
Public safety	21,445,885	19,887,020	17,489,772	15,280,509	15,685,627	14,939,109	14,842,150	12,701,861	12,139,618	11,778,255
Engineering	3,045,455	2,112,141	638,392	622,525	2,300,750	1,907,119	2,224,831	1,643,277	1,611,956	1,412,832
Environmental services	3,499,967	3,264,572	3,125,244	2,796,681	2,194,040	2,109,615	1,788,412	1,701,497	1,682,507	1,779,918
Animal control	-	-	-	-	-	-	-	-	123,665	113,487
Public works	815,980	826,884	774,681	674,693	585,600	705,505	568,139	552,190	362,748	1,163,412
Highways, streets, and roadways	1,700,671	1,500,643	1,405,170	1,136,264	1,252,628	1,556,403	1,174,314	1,359,004	1,457,922	1,403,207
Vehicle maintenance	415,838	638,291	589,459	617,315	612,519	562,563	549,748	459,858	418,068	420,964
Parks and recreation	5,579,699	5,760,606	4,950,915	3,787,643	4,286,418	4,302,313	4,639,151	4,361,499	4,265,685	4,043,815
Economic development	477,555	556,451	528,172	572,306	816,593	615,343	448,174	1,622,199	6,770,860	444,972
Tourism	-	-	-	57,039	123,052	-	-	-	-	-
Interest on debt	602,819	640,400	374,399	598,364	702,384	765,919	923,196	808,538	653,094	481,455
Total expenses	49,075,580	45,866,496	39,444,434	38,506,197	38,754,096	36,009,404	35,088,793	32,396,474	35,918,314	28,189,728
Change in net position	$ 20,309,438	$ 36,921,918	$ 24,534,143	$ 25,571,490	$ 15,473,951	$ 8,342,325	$ 10,961,585	$ 5,937,163	$ 5,932,146	$ 6,783,611

City of Gallatin, Tennessee

Financial Trend Information

Change in Net Position - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

Business-type activities:	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Revenues:										
Program revenues:										
Charges for services	$ 115,696,153	$ 108,490,786	$ 95,741,011	$ 96,304,597	$ 104,274,429	$ 102,309,298	$ 99,131,412	$ 94,763,804	$ 98,670,740	$ 100,225,082
Capital grants & contributions	6,412,212	8,438,231	6,341,397	10,898,190	4,907,752	5,623,904	3,508,042	2,490,314	1,485,205	2,317,854
General revenues:										
Other sources	384	171,323	105,925	-	-	-	147	10,000	-	487
Unrestricted interest income	886,820	180,733	316,711	328,769	229,021	197,243	134,055	142,192	108,911	95,539
Total revenues	122,995,569	117,281,073	102,505,044	107,531,556	109,411,202	108,130,445	102,773,656	97,406,310	100,264,856	102,638,962
Expenses:										
Electric	77,786,114	67,411,765	61,466,937	64,715,592	70,565,030	68,464,520	68,658,346	66,077,111	65,953,465	65,344,259
Gas	19,001,406	17,460,412	12,390,484	14,208,176	13,612,534	13,482,880	12,817,606	12,360,729	14,620,277	16,443,781
Water & Sewer	16,897,130	15,120,466	13,300,552	10,525,253	13,321,850	13,115,652	11,787,952	12,582,400	10,769,977	11,170,248
In lieu of taxes - transfer	1,624,804	1,872,093	1,891,977	1,805,424	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787
Total expenses	115,309,454	101,864,736	89,049,950	91,254,445	99,109,648	96,698,307	94,963,099	92,660,626	92,889,389	94,407,075
Change in net position	7,686,115	15,416,337	13,455,094	16,277,111	10,301,554	11,432,138	7,810,557	4,745,684	7,375,467	8,231,887
Total change in net position	$ 27,995,553	$ 52,338,255	$ 37,989,237	$ 41,848,601	$ 25,775,505	$ 19,774,463	$ 18,772,142	$ 10,682,847	$ 13,307,613	$ 15,015,498

City of Gallatin, Tennessee

Financial Trend Information

Fund Balances of Governmental Funds - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Governmental Funds (Post-GASB 54)										
Nonspendable	$ 100,170	$ 99,135	$ 85,469	$ 82,177	$ 674,250	$ 1,169,853	$ 1,612,302	$ 1,065,869	$ 173,269	$ 86,851
Restricted	13,663,068	13,103,487	12,647,277	6,877,193	1,289,029	1,366,992	1,176,985	583,621	531,907	579,606
Committed	1,314,976	98,506	89,508	103,873	156,408	156,408	284,987	209,987	205,085	205,085
Assigned	59,986	400,089	2,810,969	58,712	7,400,387	11,899,028	12,626,737	16,335,657	8,011,003	2,734,115
Unassigned	53,749,515	43,461,521	29,343,786	18,722,398	16,287,472	17,248,650	17,730,397	16,180,042	13,232,920	11,455,850
	$ 68,887,715	$ 57,162,738	$ 44,977,009	$ 25,844,353	$ 25,807,546	$ 31,840,931	$ 33,431,408	$ 34,375,176	$ 22,154,184	$ 15,061,507

City of Gallatin, Tennessee

Financial Trend Information

Changes in Fund Balances of Governmental Funds - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Revenues										
Taxes	$ 34,020,171	$ 31,828,287	$ 28,148,675	$ 24,907,697	$ 23,082,274	$ 22,304,176	$ 21,677,227	$ 20,117,243	$ 18,988,744	$ 18,393,292
Licenses and permits	3,694,996	3,633,533	3,247,237	2,279,208	2,146,030	2,542,185	2,187,478	1,093,853	760,459	467,638
Fines and penalties	823,041	658,741	673,966	691,541	737,197	785,160	922,423	983,427	1,051,142	2,556,501
Charges for services	8,420,402	7,978,910	6,285,822	6,005,756	5,476,634	4,534,678	4,302,069	3,984,098	3,739,436	3,481,559
Intergovernmental	17,046,912	19,963,272	16,201,370	14,437,262	10,628,819	6,717,563	6,616,702	10,457,840	14,007,953	8,668,804
Other	2,831,318	3,288,678	4,479,403	2,683,304	2,371,227	1,315,537	884,022	414,025	575,308	708,339
Total revenues	66,836,840	67,351,421	59,036,473	51,004,768	44,442,181	38,199,299	36,589,921	37,050,486	39,123,042	34,276,133
Expenditures										
General government	9,634,216	8,648,829	7,717,866	7,687,329	8,486,465	7,609,102	6,723,566	5,932,888	5,471,142	4,825,287
Public safety	23,531,336	18,697,042	15,764,227	15,439,576	15,118,065	14,447,340	14,122,444	12,181,199	11,707,728	11,452,818
Engineering	2,857,815	2,114,553	638,392	621,511	2,140,367	1,902,729	2,219,984	1,643,528	1,611,956	1,353,632
Environmental Services	3,295,676	3,087,746	2,819,961	2,783,382	1,993,528	1,921,514	1,788,412	1,707,426	1,704,725	1,641,126
Animal control	-	-	-	-	-	-	-	-	123,665	113,487
Public Works	3,056,827	827,963	765,125	670,407	358,438	429,269	330,388	294,737	360,112	453,374
Highway and streets	1,437,998	1,127,266	1,045,433	1,137,622	1,248,681	1,559,615	1,168,778	1,227,048	1,254,942	1,374,830
Vehicle maintenance	429,544	639,633	585,193	614,540	558,341	558,653	551,334	496,426	418,068	418,626
Parks and recreation	5,527,163	4,982,212	4,188,436	3,786,654	4,258,583	4,292,539	4,309,104	4,014,097	3,936,723	3,763,086
Economic development agency	506,618	557,630	521,733	557,726	813,666	743,864	445,448	1,622,169	6,769,860	444,972
Tourism	-	-	-	57,039	123,052	-	-	-	-	-
Debt Service:										
Principal	1,780,000	1,745,000	1,395,000	1,355,000	1,795,000	1,839,745	1,754,475	1,205,000	1,385,000	860,000
Interest	911,850	970,589	796,360	738,850	808,775	862,768	892,232	572,156	245,373	403,564
Other	1,253	1,400	-	-	-	-	-	-	-	-
Capital outlay	3,620,706	13,637,922	16,670,921	17,324,244	13,586,576	5,257,893	4,926,719	7,385,042	7,610,707	4,787,847
Total expenditures	56,591,002	57,037,785	52,908,647	52,773,880	51,289,537	41,425,031	39,232,884	38,281,716	42,600,001	31,892,649
Excess(deficiency) of revenues over (under) expenditures	10,245,838	10,313,636	6,127,826	(1,769,112)	(6,847,356)	(3,225,732)	(2,642,963)	(1,231,230)	(3,476,959)	2,383,484
Other financing sources (uses)										
Premiums on bonds issued	-	-	1,387,853	-	-	-	-	1,163,285	884,045	-
Proceeds of long-term debt	-	-	9,725,000	-	-	-	-	11,040,000	14,185,000	-
Bond issuance cost	-	-	-	-	-	-	-	(121,358)	(155,986)	-
Repayment from debt refunding	-	-	-	-	-	-	-	-	(6,098,495)	-
In lieu of tax payments from utility	1,824,463	1,872,093	1,891,977	1,805,919	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787
Operating transfers in	-	-	-	-	-	-	-	-	-	2,183,420
Operating transfers out	(345,324)	-	-	-	-	-	-	-	-	(2,183,420)
Total other financing sources (uses)	1,479,139	1,872,093	13,004,830	1,805,919	1,610,234	1,635,255	1,699,195	13,722,313	10,360,234	1,448,787
Net changes in fund balances	$ 11,724,977	12,185,729	$ 19,132,656	$ 36,807	$ (5,237,122)	$ (1,590,477)	$ (943,768)	$ 12,491,083	$ 6,883,275	$ 3,832,271
Debt service as a percentage of non-capital expenditures	5.35%	6.67%	6.44%	6.28%	7.42%	8.08%	8.36%	6.10%	4.89%	4.89%

City of Gallatin, Tennessee

Revenue Capacity Information

Assessed Value and Estimated Actual Value of Taxable Property - Last Ten Tax Years

	Appraised Value						
Tax Year		Total Taxable Assessed Value		Estimated Actual Taxable Value	Assessed Value as a Percentage of Actual Value		Total Direct Tax Rate*
2023	$	1,835,956,847	$	6,536,211,546	28.09%	$	0.80
2022	$	1,749,990,933	$	6,184,000,396	28.30%	$	0.80
2021	$	1,639,821,560	$	5,804,981,995	28.25%	$	0.80
2020	$	1,568,403,152	$	5,505,851,345	28.49%	$	0.80
2019	$	1,379,876,000	$	5,345,047,430	25.82%	$	0.80
2018	$	1,085,548,889	$	3,758,217,774	28.88%	$	0.99
2017	$	1,063,378,081	$	3,688,978,706	28.83%	$	0.99
2016	$	1,030,640,007	$	3,498,839,903	29.46%	$	0.99
2015	$	970,755,253	$	3,050,696,936	31.82%	$	0.99
2014	$	973,251,111	$	3,032,204,783	32.10%	$	0.99

* Per $100 of assessed valuation.

Note - Property of the City is reappraised periodically. For this reason, appraised value is considered
All information was pulled from the tax levies by the year noted.

City of Gallatin, Tennessee

Revenue Capacity Information

Principal Property Tax Payers - Current Year and Nine Years Ago

	2023		2014	
Taxpayer	**Assessed Valuation**	**Percent of Total Valuation**	**Assessed Valuation**	**Percent of Total Valuation**
Sumner Regional Medical Ctr	$ 89,320,700	4.87%	$ 83,926,200	8.62%
Revere At Hidden Creek LLC	$ 62,333,700	3.40%	$ -	0.00%
GAP INC	$ 52,583,300	2.86%	$ 7,541,448	0.77%
Green Lea Prop LLC	$ 42,608,700	2.32%	$ -	0.00%
Wellington Farms Holdings DE LLC	$ 37,142,900	2.02%	$ 31,800,000	3.27%
SP RGA Stoneridge LP	$ 36,696,400	2.00%	$ -	0.00%
KJPL Gallatin LLC	$ 33,376,500	1.82%	$ -	0.00%
Vintage Foxland Harbor LLC	$ 28,994,900	1.58%	$ -	0.00%
WMCI Nasvhille VI LLC	$ 28,079,300	1.53%	$ -	0.00%
Salga Plastics INC	$ 11,206,269	0.61%	$ -	0.00%
Sumner Regional Medical Center	$ 20,565,714	1.12%	$ 5,106,627	0.52%
MAA Brik LLC	$ 25,523,900	1.39%	$ 23,513,500	2.42%
Trails at Hunter Point LLC	$ 25,221,700	1.37%	$ -	0.00%
Foxland Crossing LLC	$ 24,956,300	1.36%	$ -	0.00%
Hoeganes Corp	$ 9,686,734	0.53%	$ 15,181,627	1.56%
Total	**$ 528,297,017**	**28.78%**	**$ 167,069,402**	**17.17%**

Information was obtained from the property tax rolls for the years noted.

City of Gallatin, Tennessee

Revenue Capacity Information

Property Tax Levies and Collections - Last Ten Fiscal Years

Fiscal Year	Assessed Valuation	Total Tax Levy	Amount	Percentage of Levy	Collections in Subsequent Years	Total Collections	Total Collections as Percentage of Total Levy
2023	$ 1,835,956,847	$ 14,679,193	$ 13,940,753	94.97%	$ 78,915	$ 14,019,668	95.51%
2022	$ 1,835,956,847	$ 14,038,125	$ 13,127,681	93.51%	$ 100,687	$ 13,228,368	94.23%
2021	$ 1,749,990,933	$ 12,917,234	$ 12,578,223	97.38%	$ 196,398	$ 12,774,621	98.90%
2020	$ 1,639,821,560	$ 12,158,928	$ 12,061,074	99.20%	$ -	$ 12,061,074	99.20%
2019	$ 1,568,403,152	$ 11,039,008	$ 10,962,352	99.31%	$ 62,482	$ 11,024,834	99.87%
2018	$ 1,379,876,000	$ 10,746,934	$ 10,482,842	97.54%	$ 104,110	$ 10,586,952	98.51%
2017	$ 1,085,548,889	$ 10,527,443	$ 10,151,671	96.43%	$ 892,798	$ 11,044,469	104.91%
2016	$ 1,063,378,081	$ 10,203,336	$ 9,756,265	95.62%	$ 368,379	$ 10,124,644	99.23%
2015	$ 1,030,640,007	$ 9,610,477	$ 9,447,813	98.31%	$ 257,653	$ 9,705,466	100.99%
2014	$ 970,755,253	$ 9,635,186	$ 9,401,063	97.57%	$ 343,744	$ 9,744,807	101.14%

Assessed valuation amount was taken from the property tax levy for the year noted.

City of Gallatin, Tennessee

Debt Capacity Information

Ratios of Outstanding Debt by Type - Last Ten Fiscal Years

			Governmental Activities			Business-type Activities					
Fiscal Year	Population*	Per Capita Personal Income**	General Obligation Bonds	Notes	Total Governmental	Revenue & Tax Bonds	Notes	Total Business- type Activities	Total Primary Government	Debt Per Capita	Percentage of personal income
2023	51,653	$ 34,822	$ 24,355,000	$ -	$ 24,355,000	$ 43,930,000	$ -	$ 43,930,000	$ 68,285,000	1,321.99	3.80%
2022	50,160	$ 32,912	$ 26,135,000	$ -	$ 26,135,000	$ 46,620,000	$ -	$ 46,620,000	$ 72,755,000	1,450.46	4.41%
2021	44,431	$ 32,996	$ 27,880,000	$ -	$ 27,880,000	$ 33,765,000	$ -	$ 33,765,000	$ 61,645,000	1,387.43	4.20%
2020	42,918	$ 30,203	$ 19,550,000	$ -	$ 19,550,000	$ 35,780,000	$ -	$ 35,780,000	$ 55,330,000	1,289.20	4.27%
2019	40,457	$ 28,945	$ 20,905,000	$ -	$ 20,905,000	$ 37,795,000	$ -	$ 37,795,000	$ 58,700,000	1,450.92	5.01%
2018	37,351	$ 26,544	$ 22,240,000	$ 549,745	$ 22,789,745	$ 33,955,000	$ -	$ 33,955,000	$ 56,744,745	1,519.23	5.72%
2017	35,734	$ 26,450	$ 24,805,000	$ 1,310,000	$ 26,115,000	$ 37,560,000	$ 57,667	$ 37,617,667	$ 63,732,667	1,783.53	6.74%
2016	34,473	$ 26,708	$ 14,570,000	$ 1,710,000	$ 16,280,000	$ 38,890,000	$ 219,944	$ 39,109,944	$ 55,389,944	1,606.76	6.02%
2015	33,347	$ 26,596	$ 6,985,000	$ 2,090,000	$ 9,075,000	$ 33,185,000	$ 382,221	$ 33,567,221	$ 42,642,221	1,278.74	4.81%
2014	32,307	$ 25,534	$ 7,480,000	$ 2,455,000	$ 9,935,000	$ 34,465,000	$ 544,498	$ 35,009,498	$ 44,944,498	1,391.17	5.45%

* Source for population: U.S. Census Bureau

** Personal income amounts were obtained from State estimates.

City of Gallatin, Tennessee

Debt Capacity Information

Ratios of General Bonded Debt Outstanding - Last Ten Fiscal Years

		Governmental Activities							
Fiscal Year	**Population***	**General Obligation Bonds**	**Notes**	**Total Governmental**	**Business-type Activities Notes**	**Total Primary Government**	**Assessed Value**	**Ratio of General Obligation Debt to Appraised Value**	**Net General Obligation Debt per Capita**
2023	51,653	$ 24,355,000	$ -	$ 24,355,000	$ -	$ 24,355,000	$ 1,835,956,847	1.33%	$ 471.51
2022	50,160	$ 26,135,000	$ -	$ 26,135,000	$ -	$ 26,135,000	$ 1,749,990,933	1.49%	$ 521.03
2021	44,431	$ 27,880,000	$ -	$ 27,880,000	$ -	$ 27,880,000	$ 1,639,821,560	1.70%	$ 627.49
2020	42,918	$ 19,550,000	$ -	$ 19,550,000	$ -	$ 19,550,000	$ 1,568,403,152	1.25%	$ 455.52
2019	40,457	$ 20,905,000	$ -	$ 20,905,000	$ -	$ 20,905,000	$ 1,379,876,000	1.51%	$ 516.72
2018	37,351	$ 22,240,000	$ 549,745	$ 22,789,745	$ -	$ 22,789,745	$ 1,085,548,889	2.10%	$ 610.15
2017	35,734	$ 24,805,000	$ 1,310,000	$ 26,115,000	$ 57,667	$ 26,172,667	$ 1,063,378,081	2.46%	$ 732.43
2016	34,473	$ 14,570,000	$ 1,710,000	$ 16,280,000	$ 219,944	$ 16,499,944	$ 1,030,640,007	1.60%	$ 478.63
2015	33,347	$ 6,985,000	$ 2,090,000	$ 9,075,000	$ 382,221	$ 9,457,221	$ 970,755,253	0.97%	$ 283.60
2014	32,307	$ 7,480,000	$ 2,455,000	$ 9,935,000	$ 544,498	$ 10,479,498	$ 973,251,111	1.08%	$ 324.37

* Source for population: U.S. Census Bureau

** Personal income amounts were obtained from State estimates.

City of Gallatin, Tennessee

Debt Capacity Information

Pledged Revenue Coverage - Last Ten Fiscal Years

Fiscal Year	Utility Service Charges	Less: Operating Expenses	Net Revenue Available For Debt Service	Principal	Interest	Total	Percent of Coverage
2023	$ 38,290,134	$ 34,709,510	$ 3,580,624	$ 2,690,000	$ 1,494,168	$ 4,184,168	85.58%
2022	$ 38,560,935	$ 31,115,155	$ 7,445,780	$ 2,075,000	$ 1,340,498	$ 3,415,498	218.00%
2021	$ 31,047,874	$ 19,860,727	$ 11,187,147	$ 2,015,000	$ 1,410,424	$ 3,425,424	326.59%
2020	$ 28,473,862	$ 17,853,481	$ 10,620,381	$ 1,775,000	$ 1,268,910	$ 3,043,910	348.91%
2019	$ 30,554,008	$ 20,257,578	$ 10,296,430	$ 2,015,000	$ 1,418,722	$ 3,433,722	299.86%
2018	$ 14,593,834	$ 8,546,734	$ 6,047,100	$ 1,730,000	$ 1,326,336	$ 3,056,336	197.85%
2017	$ 14,190,626	$ 7,221,685	$ 6,968,941	$ 1,830,000	$ 1,403,935	$ 3,233,935	215.49%
2016	$ 13,525,181	$ 7,389,032	$ 6,136,149	$ 1,775,000	$ 1,460,061	$ 3,235,061	189.68%
2015	$ 12,112,544	$ 6,651,379	$ 5,461,165	$ 1,330,000	$ 1,101,320	$ 2,431,320	224.62%
2014	$ 12,259,008	$ 6,548,582	$ 5,710,426	$ 1,280,000	$ 1,420,441	$ 2,700,441	211.46%

Note: Details regarding the city's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5%) applied to the increase in retail sales in the Commons shopping area since the time.

City of Gallatin, Tennessee

Demographic and Economic Information

Demographic and Economic Statistics - Last Ten Fiscal Years

Fiscal Year	City Population*	County Population*	Personal Income**	Per Capita Personal Income**	Median Age*	County School Enrollment***	County Unemployment Rate****
2023	51,653	203,858	$ 62,881	$ 34,822	38.4	30,685	2.90%
2022	50,160	200,557	$ 60,930	$ 32,912	38.4	30,512	3.00%
2021	44,431	196,281	$ 59,745	$ 32,996	39.1	30,425	4.50%
2020	42,918	191,283	$ 55,825	$ 30,203	37.9	29,540	7.50%
2019	40,457	187,149	$ 53,794	$ 28,945	37.6	29,400	3.20%
2018	37,351	183,545	$ 49,041	$ 26,544	37.2	29,196	2.80%
2017	35,734	180,063	$ 47,957	$ 26,450	36.0	29,059	2.30%
2016	34,473	175,989	$ 46,441	$ 26,708	37.0	29,060	4.10%
2015	33,347	172,706	$ 46,102	$ 26,596	37.0	28,715	4.70%
2014	32,307	168,888	$ 45,603	$ 25,534	37.4	28,361	5.60%

*	U.S. Census Bureau
**	State Estimate
***	Sumner County School Board
****	Tennessee State Department of Labor, Statistical Services

Note: Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

City of Gallatin, Tennessee

Demographic and Economic Information

Principal Employers - Current Year and Nine Years Ago

	2023			2014		
Employer	Employees	Rank	Percentage of Total City Employment	Employees	Rank	Percentage of Total City Employment
Sumner County Government & Schools	4,675	1	21.25%	3,980	1	35.19%
Gap, Inc.	2,388	2	10.85%	850	3	7.52%
Sumner Regional Medical Center	1,075	3	4.89%	1,090	2	9.64%
ABC Technologies	785	4	3.57%	211	10	1.87%
Volunteer State Community College	753	5	3.42%	N/A	N/A	N/A
City of Gallatin	587	6	2.67%	380	6	3.36%
Servpro Corporate Headquarters	438	7	1.99%	432	5	3.82%
YAPP USA	378	8	1.72%	N/A	N/A	N/A
NIC Global	303	9	1.38%	N/A	N/A	N/A
Simpson Storng Tie	240	10	1.09%	N/A	N/A	N/A
Walmart	N/A	N/A	N/A	450	4	3.98%
YSF Automotive Systems	N/A	N/A	N/A	353	7	3.12%
Hoeganaes	N/A	N/A	N/A	243	8	2.15%
R.R. Donnelley & Sons	N/A	N/A	N/A	225	9	1.99%

Source: Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

City of Gallatin, Tennessee

Operating Information

Full-Time Equivalent City Government Employees by Function/Program - Last Ten Fiscal Years

Function/Program	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
General Government										
Mayor's Office	3	3	3	3	3	3	3	3	3	3
Planning	9	8	8	8	9	9	7	7	6	6
Finance	6	6	7	7	6	6	6	5	5	8
City Attorney	4	4	4	4	4	4	4	3	3	3
Recorder	6	7	6	6	6	7	6	6	6	7
Personnel	5	5	5	4	4	3	3	3	2	2
Codes	17	17	18	15	15	15	12	9	10	7
Economic Development Agency	3	3	3	3	3	3	3	3	2	2
Information Technology	8	8	8	8	7	7	7	6	5	0
Public Safety										
Police	91	97	97	97	99	99	99	98	93	94
Fire	95	98	97	97	96	98	85	68	72	72
Public Works	50	52	49	52	48	50	47	48	47	49
Leisure Services	29	30	30	29	26	29	29	31	31	31
Engineering	15	10	10	9	9	8	7	6	7	6
Public Utilities	86	84	88	92	93	95	86	88	87	82
Golf Course	-	-	-	-	-	-	-	-	-	-
Total	427	432	433	434	428	436	404	384	379	372

Sources: PERSONNEL OFFICIAL
*AUDITS PRIOR YEARS

2013 numbers include 3 PPT employees. It does not include 11 unfilled positions (total authorized manning 377 as 6/30/13).

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as 6/30/16).

2017 numbers include 4 PPT employees. It does not include 15 unfilled positions (total authorized manning as 06/30/17).

City of Gallatin, Tennessee

Operating Information

Operating Indicators by Function/Program - Last Ten Fiscal Years

Function/Program	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Police										
Physical arrests	3,915	3,419	2,985	3,571	3,802	3,718	3,805	3,803	3,575	3,772
Parking violations	276	188	169	219	407	308	279	458	722	420
Traffic violations	13,826	14,847	11,720	17,065	15,334	13,436	13,824	17,393	22,643	13,231
* Red light camera citations	5,519	5,598	5,109	3,828	6,345	6,211	7,386	9,054	7,751	7,029
Fire										
Emergency responses	8,114	7,729	6,854	6,228	6,048	5,636	4,192	3,917	3,390	3,120
Fires extinguished	157	148	132	115	122	113	133	144	94	120
Inspections	8,132	4,552	3,296	2,530	2,526	2,423	1,658	1,664	1,413	829
Animal Control										
* * Animals Restrained	296	317	288	346	519	487	576	622	N/A	388
Highways and Streets										
Street resurfacing (miles)	6.42	8.11	5.16	6.64	5.20	6.00	3.31	4.60	5.75	4.50
Potholes repaired	1,529	2,465	259	363	315	356	314	403	324	546
Other Public Works										
Utility cuts repaired	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Parks and Recreation										
Athletic field permits issued	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Community center admissions	150,000	150,000	150,000	150,000	270,000	270,000	270,000	240,000	240,000	230,000
Community Service										
Number of organization benefited	17	17	17	21	18	14	10	12	16	16
Number of services benefited	3	3	3	3	3	3	5	6	4	4
Environmental Services										
Tons hauled	18,629	20,506	18,599	17,625	16,432	16,171	16,142	12,224	11,413	11,376
Water										
New connections	530	754	715	441	406	425	380	316	330	272
Water main breaks	53	58	31	45	46	37	37	37	38	40
Utility cuts repaired	78	79	54	123	83	145	100	139	138	175
Average daily consumption (thousands of gallons)	8,625	7,805	7,293	7,774	7,110	7,316	6,052	6,171	5,865	5,944
Peak daily consumption (thousands of gallons)	12,047	12,562	8,797	9,347	10,523	8,451	7,072	8,287	7,873	9,277
Sewer										
Average daily treatment (thousands of gallons)	7,556	8,077	7,785	8,911	7,010	6,282	5,902	5,808	6,435	6,992
Electric										
Average daily consumption (thousands of kilowatt hours)	2,145	2,147	2,163	2,020	2,237	2,254	2,244	2,194	2,186	2,184
Natural Gas										
Average daily consumption:										
Summer -April/October (thousands of cubic feet)	4,064	4,059	3,587	3,623	4,920	4,810	4,656	4,937	5,550	5,117
Winter-November/March (thousands of cubic feet)	9,029	8,335	9,124	8,211	8,507	10,445	7,454	7,644	9,078	9,660
Golf										
Rounds played	45,000	44,145	44,145	44,145	45,000	45,000	45,000	45,000	35,000	45,000

Sources: Various city departments

Notes: Indicators are not available for the general government function.

City of Gallatin, Tennessee

Operating Information

Capital Asset Statistics by Function/Program - Last Ten Fiscal Years

Function/Program	2023	2022	2021	2020	2019	2018	2017	2016	2015	2014
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Zone offices	4	4	4	4	4	1	1	1	1	1
Patrol units	97	80	80	96	96	91	79	78	76	73
Fire										
Stations	5	5	5	5	5	4	4	4	4	4
Fire trucks	12	11	11	11	11	9	9	9	8	8
Animal Control										
Trucks	2	2	2	2	2	2	2	2	2	2
Highways and Streets										
Streets (miles)	224.6	221.0	217.5	215.8	210.0	204.4	200.1	195.6	195.3	195.0
Streetlights	4,337	4,278	4,254	3,931	3,874	3,892	3,811	3,720	3,621	3,678
Traffic signals	417	438	411	411	388	380	370	362	362	354
Sidewalks (miles)	107.2	99.7	93.0	89.7	78.0	66.8	57.5	46.5	46.0	45.0
Parks and Recreation										
Acreage	610	610	598	598	598	532	532	532	532	532
Playgrounds	5	5	5	5	5	5	5	4	4	4
Baseball/softball diamonds	23	23	23	23	23	23	23	23	23	23
Soccer/football fields	8	8	8	8	8	8	8	8	8	8
Community centers	2	2	2	2	2	2	2	2	2	2
Volleyball Courts	4	4	4	4	4	4	4	4	4	4
Basketball Courts	6	6	6	6	6	6	6	6	6	6
Picnic Shelters	13	13	13	13	13	13	13	13	13	13
Tennis Courts	6	6	6	6	6	6	6	6	6	6
Horseshoe Pits	5	5	5	5	5	5	5	9	9	9
Fishing Piers	2	2	2	2	2	2	2	2	2	2
Swimming Pools	2	2	2	2	1	1	1	1	1	1
Walking Trail (miles)	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0	8.0
Disc Golf (holes)	18	18	18	18	18	18	18	18	18	18
Model Airplane Strip	1	1	1	1	1	1	1	1	1	1
Skate Park	1	1	1	1	1	1	1	1	1	1
Environmental Services										
Refuse Trucks	28	25	24	24	24	23	22	22	20	21
Water										
Water mains (miles)	345.0	342.0	337.0	335.0	331.0	320.0	316.0	313.0	312.0	311.0
Fire hydrants	2,317	2,273	2,212	2,173	2,113	2,075	2,025	1,986	1,920	1,902
Storage capacity (thousands of gallons)	15,300	15,000	15,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000
Percent of Water Loss in System	31	35	32	25	16	16	12	13	12	15
Sewer										
Sewer mains (miles)	273.0	270.0	264.0	257.0	254.0	244.0	240.0	236.0	234.0	233.0
Pump Stations	43	44	43	41	41	41	41	41	41	40
Natural Gas										
Gas lines (miles)	416.0	405.0	398.0	394.0	389.0	385.0	382.0	380.0	376.0	368.0
Golf										
Acres	136	136	136	136	136	136	136	136	136	136
Holes	18	18	18	18	18	18	18	18	18	18
Driving Range	1	1	1	1	1	1	1	1	1	1

Sources: Various city departments

Note: No capital asset indicators are available for the general government.

Internal Control and Compliance

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance With *Government Auditing Standards*

Honorable Mayor and Members of the City Council
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents, and have issued our report thereon dated December 18, 2023. Our report includes a reference to other auditors who audited the financial statements of the Electric Department, as described in our report on the City's financial statements. This report does not include the results of the other auditors' testing of internal control over financial reporting or compliance and other matters that are reported on separately by those auditors.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 18, 2023

BLANKENSHIP

Independent Auditor's Report on Compliance for Each Major Federal Program and on Internal Control over Compliance Required by the Uniform Guidance

Honorable Mayor and Members of the City Council
City of Gallatin, Tennessee

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the City of Gallatin, Tennessee's (the City) compliance with the types of compliance requirements identified as subject to audit in the OMB Compliance Supplement that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2023. The City's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 US *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 18, 2023

City of Gallatin, Tennessee
Schedule of Findings and Questioned Costs
For the Fiscal Year Ended June 30, 2023

Section I. Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP	Unmodified	
Internal control over financial reporting:		
Material weakness identified?	____ Yes	X No
Significant deficiency(ies) identified?	____ Yes	X None Reported
Noncompliance material to financial statements noted?	____ Yes	X No

Federal Awards

Internal control over major programs:		
Material weakness identified?	____ Yes	X No
Significant deficiency(ies) identified?	____ Yes	X None Reported
Type of auditor's report issued on compliance for major federal programs:	Unmodified	
Any audit findings disclosed that are required to be reported in accordance with section 2 CFR 200.516(a)?	____ Yes	X No

Identification of major programs:

Assistance Listing Number	Name of Federal Program or Cluster
20.205	U.S. Department of Transportation/ Highway Planning and Construction Cluster

Dollar threshold used to distinguish between type A and type B programs	$ 750,000	
Auditee qualified as low-risk auditee?	X Yes	____ No

City of Gallatin, Tennessee

Summary Schedule of Prior Year Findings

For the Fiscal Year Ended June 30, 2023

Financial Statement Findings

Finding Number	Finding Title	Status
2022-001	Internal Controls over City assets	Corrected

Federal Award Findings and Questioned Costs

Finding Number	Finding Title	Status
N/A	There were no prior findings reported.	N/A

Compliance and Other Matters

Finding Number	Finding Title	Status
N/A	There were no prior findings reported.	N/A